

**UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549
FORM 10-Q**

(Mark one)

☒ **QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the Quarterly Period Ended March 31, 2026

OR

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15 (d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the transition period from _____ to _____



THE PROCTER & GAMBLE COMPANY

(Exact name of registrant as specified in its charter)

Ohio
(State of Incorporation)

1-434
(Commission File Number)

31-0411980
(I.R.S. Employer Identification Number)

One Procter & Gamble Plaza, Cincinnati, Ohio
(Address of principal executive offices)

45202
(Zip Code)

(513) 983-1100
(Registrant's telephone number, including area code)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol	Name of each exchange on which registered
Common Stock, without Par Value	PG	NYSE
0.110% Notes due 2026	PG26D	NYSE
3.250% EUR Notes due 2026	PG26F	NYSE
4.875% EUR Notes due May 2027	PG27A	NYSE
1.200% Notes due 2028	PG28	NYSE
3.150% EUR Notes due 2028	PG28B	NYSE
1.250% Notes due 2029	PG29B	NYSE
1.800% Notes due 2029	PG29A	NYSE
6.250% GBP Notes due January 2030	PG30	NYSE
0.350% Notes due 2030	PG30C	NYSE
0.230% Notes due 2031	PG31A	NYSE
3.250% EUR Notes due 2031	PG31B	NYSE
5.250% GBP Notes due January 2033	PG33	NYSE
2.900% Notes due 2033	PG33B	NYSE
3.200% EUR Notes due 2034	PG34C	NYSE
1.875% Notes due 2038	PG38	NYSE
0.900% Notes due 2041	PG41	NYSE
3.650% Notes due 2045	PG45	NYSE

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files).

Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☒	Accelerated filer	☐
Non-accelerated filer	☐	Smaller reporting company	☐
		Emerging growth company	☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

There were 2,328,598,978 shares of Common Stock outstanding as of March 31, 2026.

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PART I. FINANCIAL INFORMATION

Item 1. Financial Statements

THE PROCTER & GAMBLE COMPANY AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF EARNINGS

<u>Amounts in millions except per share amounts</u>	Three Months Ended March 31		Nine Months Ended March 31	
	2026	2025	2026	2025
NET SALES	\$ 21,235	\$ 19,776	\$ 65,828	\$ 63,395
Cost of products sold	10,722	9,694	32,442	30,533
Selling, general and administrative expense	5,936	5,524	17,588	16,765
OPERATING INCOME	4,576	4,558	15,798	16,096
Interest expense	(223)	(217)	(641)	(695)
Interest income	100	111	322	365
Other non-operating income/(expense), net	537	210	964	(120)
EARNINGS BEFORE INCOME TAXES	4,989	4,661	16,444	15,646
Income taxes	1,039	868	3,381	3,207
NET EARNINGS	3,951	3,793	13,063	12,439
Less: Net earnings attributable to noncontrolling interests	18	23	60	80
NET EARNINGS ATTRIBUTABLE TO PROCTER & GAMBLE	\$ 3,932	\$ 3,769	\$ 13,002	\$ 12,359
NET EARNINGS PER COMMON SHARE ⁽¹⁾				
Basic	\$ 1.66	\$ 1.58	\$ 5.47	\$ 5.16
Diluted	\$ 1.63	\$ 1.54	\$ 5.36	\$ 5.03

⁽¹⁾ Basic net earnings per common share and Diluted net earnings per common share are calculated on Net earnings attributable to Procter & Gamble.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

<u>Amounts in millions</u>	Three Months Ended March 31		Nine Months Ended March 31	
	2026	2025	2026	2025
NET EARNINGS	\$ 3,951	\$ 3,793	\$ 13,063	\$ 12,439
OTHER COMPREHENSIVE INCOME/(LOSS), NET OF TAX				
Foreign currency translation	(211)	367	(186)	623
Unrealized gains/(losses) on investment securities	1	2	1	3
Unrealized gains/(losses) on defined benefit postretirement plans	13	(39)	14	(37)
TOTAL OTHER COMPREHENSIVE INCOME/(LOSS), NET OF TAX	(198)	330	(171)	590
TOTAL COMPREHENSIVE INCOME	3,753	4,123	12,892	13,029
Less: Comprehensive income attributable to noncontrolling interests	11	24	45	78
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO PROCTER & GAMBLE	\$ 3,742	\$ 4,099	\$ 12,847	\$ 12,951

See accompanying Notes to Consolidated Financial Statements.

THE PROCTER & GAMBLE COMPANY AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS

<u>Amounts in millions</u>	March 31, 2026	June 30, 2025
<u>Assets</u>		
CURRENT ASSETS		
Cash and cash equivalents	\$ 12,306	\$ 9,556
Accounts receivable	6,322	6,185
INVENTORIES		
Materials and supplies	1,971	2,022
Work in process	1,063	1,012
Finished goods	4,819	4,516
Total inventories	7,853	7,551
Prepaid expenses and other current assets	1,506	2,100
TOTAL CURRENT ASSETS	27,987	25,392
PROPERTY, PLANT AND EQUIPMENT, NET	24,574	23,897
GOODWILL	41,359	41,650
TRADEMARKS AND OTHER INTANGIBLE ASSETS, NET	21,531	21,910
OTHER NONCURRENT ASSETS	12,928	12,381
TOTAL ASSETS	\$ 128,378	\$ 125,231
<u>Liabilities and Shareholders' Equity</u>		
CURRENT LIABILITIES		
Accounts payable	\$ 15,030	\$ 15,227
Accrued and other liabilities	10,031	11,318
Debt due within one year	13,174	9,513
TOTAL CURRENT LIABILITIES	38,235	36,058
LONG-TERM DEBT	23,852	24,995
DEFERRED INCOME TAXES	6,047	5,774
OTHER NONCURRENT LIABILITIES	5,513	6,120
TOTAL LIABILITIES	73,647	72,946
SHAREHOLDERS' EQUITY		
Preferred stock	759	777
Common stock – shares issued –		
March 2026	4,009.2	
June 2025	4,009.2	4,009
Additional paid-in capital	69,375	68,770
Reserve for ESOP debt retirement	(596)	(672)
Accumulated other comprehensive loss	(12,298)	(12,143)
Treasury stock	(142,168)	(138,702)
Retained earnings	135,424	129,973
Noncontrolling interest	226	272
TOTAL SHAREHOLDERS' EQUITY	54,731	52,284
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	\$ 128,378	\$ 125,231

See accompanying Notes to Consolidated Financial Statements.

THE PROCTER & GAMBLE COMPANY AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF SHAREHOLDERS' EQUITY

Three Months Ended March 31, 2026

<u>Dollars in millions except per share amounts; shares in thousands</u>	Common Stock		Preferred Stock	Additional Paid-In Capital	Reserve for ESOP Debt Retirement	Accumulated Other Comprehensive Income/(Loss)	Treasury Stock	Retained Earnings	Noncontrolling Interest	Total Shareholders' Equity
	Shares	Amount								
BALANCE DECEMBER 31, 2025	2,324,001	\$4,009	\$767	\$69,010	(\$637)	(\$12,108)	(\$141,981)	\$133,981	\$276	\$53,317
Net earnings								3,932	18	3,951
Other comprehensive income/(loss)						(190)			(7)	(198)
Dividends and dividend equivalents (\$1.0568 per share):								(2,465)		(2,465)
Common								(72)		(72)
Preferred										
Treasury stock purchases (3,912)							(618)			(618)
Employee stock plans 7,560				364			424			789
Preferred stock conversions 950			(8)	1			7			—
ESOP debt impacts					41			47		88
Noncontrolling interest, net				—					(61)	(61)
BALANCE MARCH 31, 2026	2,328,599	\$4,009	\$759	\$69,375	(\$596)	(\$12,298)	(\$142,168)	\$135,424	\$226	\$54,731

Nine Months Ended March 31, 2026

<u>Dollars in millions; shares in thousands</u>	Common Stock		Preferred Stock	Additional Paid-In Capital	Reserve for ESOP Debt Retirement	Accumulated Other Comprehensive Income/(Loss)	Treasury Stock	Retained Earnings	Noncontrolling Interest	Total Shareholders' Equity
	Shares	Amount								
BALANCE JUNE 30, 2025	2,341,994	\$4,009	\$777	\$68,770	(\$672)	(\$12,143)	(\$138,702)	\$129,973	\$272	\$52,284
Net earnings								13,002	60	13,063
Other comprehensive income/(loss)						(155)			(16)	(171)
Dividends and dividend equivalents (\$3.1704 per share):								(7,425)		(7,425)
Common								(218)		(218)
Preferred										
Treasury stock purchases (27,503)							(4,147)			(4,147)
Employee stock plans 11,864				602			666			1,268
Preferred stock conversions 2,244			(18)	3			16			—
ESOP debt impacts					76			91		168
Noncontrolling interest, net				—					(90)	(90)
BALANCE MARCH 31, 2026	2,328,599	\$4,009	\$759	\$69,375	(\$596)	(\$12,298)	(\$142,168)	\$135,424	\$226	\$54,731

See accompanying Notes to Consolidated Financial Statements.

Three Months Ended March 31, 2025

<u>Dollars in millions; shares in thousands</u>	Common Stock		Preferred Stock	Additional Paid-In Capital	Reserve for ESOP Debt Retirement	Accumulated Other Comprehensive Income/(Loss)	Treasury Stock	Retained Earnings	Noncontrolling Interest	Total Shareholders' Equity
	Shares	Amount								
BALANCE DECEMBER 31, 2024	2,344,852	\$4,009	\$788	\$68,283	(\$707)	(\$11,637)	(\$137,112)	\$127,544	\$275	\$51,443
Net earnings								3,769	23	3,793
Other comprehensive income/(loss)						330			1	330
Dividends and dividend equivalents (\$1.0065 per share):										
Common								(2,367)		(2,367)
Preferred								(71)		(71)
Treasury stock purchases (7,966)							(1,351)			(1,351)
Employee stock plans 6,836				331			384			715
Preferred stock conversions 820			(7)	1			6			—
ESOP debt impacts					35			44		79
Noncontrolling interest, net				—					(26)	(26)
BALANCE MARCH 31, 2025	2,344,542	\$4,009	\$781	\$68,615	(\$672)	(\$11,307)	(\$138,073)	\$128,919	\$273	\$52,545

Nine Months Ended March 31, 2025

<u>Dollars in millions; shares in thousands</u>	Common Stock		Preferred Stock	Additional Paid-In Capital	Reserve for ESOP Debt Retirement	Accumulated Other Comprehensive Income/(Loss)	Treasury Stock	Retained Earnings	Noncontrolling Interest	Total Shareholders' Equity
	Shares	Amount								
BALANCE JUNE 30, 2024	2,357,051	\$4,009	\$798	\$67,684	(\$737)	(\$11,900)	(\$133,379)	\$123,811	\$272	\$50,559
Net earnings								12,359	80	12,439
Other comprehensive income/(loss)						592			(2)	590
Dividends and dividend equivalents (\$3.0195 per share):										
Common								(7,121)		(7,121)
Preferred								(215)		(215)
Treasury stock purchases (34,235)							(5,813)			(5,813)
Employee stock plans 19,662				929			1,104			2,033
Preferred stock conversions 2,063			(17)	2			15			—
ESOP debt impacts					64			86		150
Noncontrolling interest, net				—					(77)	(77)
BALANCE MARCH 31, 2025	2,344,542	\$4,009	\$781	\$68,615	(\$672)	(\$11,307)	(\$138,073)	\$128,919	\$273	\$52,545

See accompanying Notes to Consolidated Financial Statements.

THE PROCTER & GAMBLE COMPANY AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

<u>Amounts in millions</u>	<u>Nine Months Ended March 31</u>	
	<u>2026</u>	<u>2025</u>
CASH, CASH EQUIVALENTS AND RESTRICTED CASH, BEGINNING OF PERIOD	\$ 9,556	\$ 9,482
OPERATING ACTIVITIES ⁽¹⁾		
Net earnings	13,063	12,439
Depreciation and amortization	2,348	2,124
Share-based compensation expense	394	364
Deferred income taxes	178	183
(Gain)/loss on sale of assets	(345)	782
Change in accounts receivable	(186)	(79)
Change in inventories	(346)	(409)
Change in accounts payable	196	(547)
Other	(877)	(2,026)
TOTAL OPERATING ACTIVITIES	14,425	12,832
INVESTING ACTIVITIES		
Capital expenditures	(3,386)	(2,777)
Proceeds from asset sales	501	64
Acquisitions, net of cash acquired	(85)	(11)
Other investing activity	(458)	(33)
TOTAL INVESTING ACTIVITIES	(3,428)	(2,755)
FINANCING ACTIVITIES		
Dividends to shareholders	(7,623)	(7,319)
Additions to short-term debt with original maturities of more than three months	7,785	5,905
Reductions in short-term debt with original maturities of more than three months	(6,353)	(3,781)
Net additions/(reductions) to other short-term debt	1,028	(543)
Additions to long-term debt	2,652	995
Reductions in long-term debt	(2,361)	(1,478)
Treasury stock purchases	(4,153)	(5,800)
Impact of stock options and other	872	1,601
TOTAL FINANCING ACTIVITIES	(8,154)	(10,420)
EFFECT OF EXCHANGE RATE CHANGES ON CASH, CASH EQUIVALENTS AND RESTRICTED CASH	(94)	(22)
CHANGE IN CASH, CASH EQUIVALENTS AND RESTRICTED CASH	2,749	(365)
CASH, CASH EQUIVALENTS AND RESTRICTED CASH, END OF PERIOD	\$ 12,306	\$ 9,116

⁽¹⁾ Certain prior period amounts within Operating Activities have been reclassified for consistency with the current period presentation. These reclassifications had no effect on the previously reported Total Operating Activities.

See accompanying Notes to Consolidated Financial Statements.

THE PROCTER & GAMBLE COMPANY AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Basis of Presentation

The accompanying unaudited Consolidated Financial Statements of The Procter & Gamble Company and subsidiaries ("the Company," "Procter & Gamble," "P&G," "we" or "our") should be read in conjunction with the Company's Annual Report on Form 10-K for the fiscal year ended June 30, 2025. We have prepared these statements in conformity with accounting principles generally accepted in the United States (U.S. GAAP) pursuant to the rules and regulations of the U.S. Securities and Exchange Commission (SEC) for interim financial information. Note that certain columns and rows may not add due to rounding. In the opinion of management, the accompanying Consolidated Financial Statements contain all normal recurring adjustments necessary to present fairly the financial position, results of operations and cash flows for the interim periods reported. However, the results of operations included in such financial statements may not necessarily be indicative of annual results.

2. New Accounting Pronouncements and Policies

In December 2023, the Financial Accounting Standards Board (FASB) issued Accounting Standards Update (ASU) No. 2023-09, "Income Taxes: Improvements to Income Tax Disclosures". This guidance requires consistent categories and greater disaggregation of information in the rate reconciliation and disclosures of income taxes paid by jurisdiction. This amendment is effective for our fiscal year ending June 30, 2026. This guidance will require additional disclosures in the Income Tax footnote but will not have a material impact on our Consolidated Financial Statements.

In November 2024, the FASB issued ASU No. 2024-03, "Income Statement—Reporting Comprehensive Income—Expense Disaggregation Disclosures: Disaggregation of Income Statement Expenses". This guidance requires disclosures about significant expense categories, including but not limited to, inventory purchases, employee compensation, depreciation, amortization and selling expenses. This amendment is effective for our fiscal year ending June 30, 2028, and our interim periods within the fiscal year ending June 30, 2029. We are currently assessing the impact of this guidance on our disclosures.

In September 2025, the FASB issued ASU No. 2025-06, "Intangibles—Goodwill and Other—Internal-Use Software: Targeted Improvements to the Accounting for Internal-Use Software". This guidance amends the accounting for and disclosure of software costs. This amendment is effective for our fiscal year ending June 30, 2029, and the interim periods within that fiscal year. We are currently assessing the impact of this guidance on our Consolidated Financial Statements.

In December 2025, the FASB issued ASU No. 2025-10, "Accounting for Government Grants Received by Business Entities". This amendment provides guidance on the recognition, measurement and presentation of government grants. This amendment is effective for our fiscal year ending June 30, 2030, and the interim periods within that fiscal year. We are currently assessing the impact of this guidance on our Consolidated Financial Statements.

No other new accounting pronouncement issued or effective during the fiscal year had, or is expected to have, a material impact on our Consolidated Financial Statements.

3. Segment Information

Under U.S. GAAP, our operating segments are aggregated into five reportable segments: 1) Beauty, 2) Grooming, 3) Health Care, 4) Fabric & Home Care and 5) Baby, Feminine & Family Care. Our five reportable segments are comprised of:

- *Beauty*: Hair Care (Conditioners, Shampoos, Styling Aids, Treatments); Personal Care (Antiperspirants and Deodorants, Personal Cleansing); Skin Care (Facial Moisturizers, Cleaners and Treatments);
- *Grooming*: Grooming (Appliances, Female Blades & Razors, Male Blades & Razors, Pre- and Post-Shave Products, Other Grooming);
- *Health Care*: Oral Care (Toothbrushes, Toothpastes, Other Oral Care); Personal Health Care (Gastrointestinal, Pain Relief, Rapid Diagnostics, Respiratory, Vitamins/Minerals/Supplements, Other Personal Health Care);
- *Fabric & Home Care*: Fabric Care (Fabric Enhancers, Laundry Additives, Laundry Detergents); Home Care (Air Care, Dish Care, P&G Professional, Surface Care); and
- *Baby, Feminine & Family Care*: Baby Care (Baby Wipes, Taped Diapers and Pants); Feminine Care (Adult Incontinence, Menstrual Care); Family Care (Paper Towels, Tissues, Toilet Paper).

Amounts in millions of dollars except per share amounts or as otherwise specified.

Operating segments as a percentage of consolidated net sales are as follows:

	% of Net sales by operating segment ⁽¹⁾			
	Three Months Ended March 31		Nine Months Ended March 31	
	2026	2025	2026	2025
Fabric Care	23 %	23 %	23 %	23 %
Home Care	12 %	12 %	12 %	12 %
Baby Care	9 %	9 %	9 %	9 %
Hair Care	9 %	9 %	9 %	9 %
Family Care	9 %	9 %	8 %	9 %
Grooming	8 %	8 %	8 %	8 %
Oral Care	8 %	8 %	8 %	8 %
Personal Health Care	7 %	7 %	7 %	7 %
Feminine Care	6 %	6 %	7 %	6 %
Personal Care	6 %	6 %	6 %	6 %
Skin Care	3 %	3 %	3 %	3 %
Total	100 %	100 %	100 %	100 %

⁽¹⁾ % of Net sales by operating segment excludes sales recorded in Corporate.

The following is a summary of reportable segment results:

	Three Months Ended March 31, 2026						
	Beauty	Grooming	Health Care	Fabric & Home Care	Baby, Feminine & Family Care	Corporate	Total Company
Net sales	\$ 3,866	\$ 1,608	\$ 3,073	\$ 7,403	\$ 5,058	\$ 225	\$ 21,235
Cost of products sold	(1,575)	(642)	(1,277)	(4,068)	(2,753)	(406)	(10,722)
Selling, general and administrative expense	(1,530)	(533)	(1,028)	(1,647)	(1,023)	(176)	(5,936)
Other segment items ⁽¹⁾	—	3	—	—	—	410	413
Earnings/(loss) before income taxes	761	436	768	1,689	1,282	54	4,989
Net earnings/(loss)	\$ 579	\$ 331	\$ 579	\$ 1,300	\$ 980	\$ 181	\$ 3,951
<u>Other segment information</u>							
Depreciation and amortization	\$ 102	\$ 80	\$ 112	\$ 188	\$ 210	\$ 92	\$ 785
Capital expenditures	\$ 97	\$ 124	\$ 141	\$ 266	\$ 324	\$ 67	\$ 1,019

⁽¹⁾ Other segment items for each reportable segment includes interest expense, interest income and certain other non-operating income/(expense). Corporate includes non-operating income comprised primarily of a \$343 gain due to the dissolution of the Glad joint venture business.

Amounts in millions of dollars except per share amounts or as otherwise specified.

Three Months Ended March 31, 2025

	Beauty	Grooming	Health Care	Fabric & Home Care	Baby, Feminine & Family Care	Corporate	Total Company
Net sales	\$ 3,490	\$ 1,505	\$ 2,880	\$ 6,948	\$ 4,755	\$ 198	\$ 19,776
Cost of products sold	(1,349)	(595)	(1,190)	(3,698)	(2,602)	(260)	(9,694)
Selling, general and administrative expense	(1,457)	(506)	(955)	(1,609)	(1,003)	7	(5,524)
Other segment items ⁽¹⁾	—	—	—	1	—	102	103
Earnings/(loss) before income taxes	684	404	734	1,642	1,150	48	4,661
Net earnings/(loss)	\$ 539	\$ 321	\$ 569	\$ 1,285	\$ 880	\$ 200	\$ 3,793

Other segment information

Depreciation and amortization	\$ 98	\$ 75	\$ 96	\$ 178	\$ 200	\$ 43	\$ 690
Capital expenditures	\$ 80	\$ 119	\$ 136	\$ 289	\$ 265	\$ (30)	\$ 859

⁽¹⁾ Other segment items for each reportable segment includes interest expense, interest income and certain other non-operating income/(expense).

Nine Months Ended March 31, 2026

	Beauty	Grooming	Health Care	Fabric & Home Care	Baby, Feminine & Family Care	Corporate	Total Company
Net sales	\$ 12,048	\$ 5,219	\$ 9,699	\$ 22,882	\$ 15,352	\$ 627	\$ 65,828
Cost of products sold	(4,756)	(2,117)	(3,994)	(12,277)	(8,285)	(1,013)	(32,442)
Selling, general and administrative expense	(4,407)	(1,553)	(2,993)	(4,914)	(3,001)	(720)	(17,588)
Other segment items ⁽¹⁾	—	3	2	—	—	640	646
Earnings/(loss) before income taxes	2,885	1,552	2,714	5,692	4,066	(466)	16,444
Net earnings/(loss)	\$ 2,222	\$ 1,212	\$ 2,067	\$ 4,400	\$ 3,105	\$ 57	\$ 13,063

Other segment information

Depreciation and amortization	\$ 307	\$ 238	\$ 325	\$ 559	\$ 623	\$ 296	\$ 2,348
Capital expenditures	\$ 257	\$ 384	\$ 389	\$ 866	\$ 959	\$ 530	\$ 3,386

⁽¹⁾ Other segment items for each reportable segment includes interest expense, interest income and certain other non-operating income/(expense). Corporate includes non-operating income comprised primarily of a \$343 gain due to the dissolution of the Glad joint venture business.

Nine Months Ended March 31, 2025

	Beauty	Grooming	Health Care	Fabric & Home Care	Baby, Feminine & Family Care	Corporate	Total Company
Net sales	\$ 11,231	\$ 4,980	\$ 9,277	\$ 22,233	\$ 15,155	\$ 520	\$ 63,395
Cost of products sold	(4,304)	(1,982)	(3,733)	(11,639)	(8,152)	(723)	(30,533)
Selling, general and administrative expense	(4,179)	(1,505)	(2,882)	(4,886)	(3,006)	(308)	(16,765)
Other segment items ⁽¹⁾	(1)	—	—	1	—	(450)	(451)
Earnings/(loss) before income taxes	2,746	1,493	2,662	5,709	3,997	(961)	15,646
Net earnings/(loss)	\$ 2,158	\$ 1,206	\$ 2,068	\$ 4,473	\$ 3,065	\$ (531)	\$ 12,439

Other segment information

Depreciation and amortization	\$ 298	\$ 235	\$ 293	\$ 536	\$ 606	\$ 156	\$ 2,124
Capital expenditures	\$ 198	\$ 299	\$ 354	\$ 760	\$ 724	\$ 442	\$ 2,777

⁽¹⁾ Other segment items for each reportable segment includes interest expense, interest income and certain other non-operating income/(expense). Corporate includes non-operating losses comprised primarily of a non-cash charge of \$752 for accumulated foreign currency translation losses due to the substantial liquidation of operations in Argentina.

Amounts in millions of dollars except per share amounts or as otherwise specified.

The Chief Operating Decision Maker (CODM) does not use assets by segment to evaluate performance or allocate resources. Therefore, we do not disclose assets by segment.

4. Goodwill and Intangible Assets

Goodwill is allocated by reportable segment as follows:

	Beauty	Grooming	Health Care	Fabric & Home Care	Baby, Feminine & Family Care	Total Company
GOODWILL AT JUNE 30, 2025	\$ 14,229	\$ 12,993	\$ 7,941	\$ 1,848	\$ 4,640	\$ 41,650
Acquisitions and divestitures	—	—	40	—	—	40
Translation and other	(124)	(85)	(78)	(9)	(35)	(330)
GOODWILL AT MARCH 31, 2026	<u>\$ 14,105</u>	<u>\$ 12,908</u>	<u>\$ 7,902</u>	<u>\$ 1,840</u>	<u>\$ 4,605</u>	<u>\$ 41,359</u>

Goodwill decreased from June 30, 2025, primarily due to currency translation, partially offset by a minor acquisition within Health Care.

Identifiable intangible assets at March 31, 2026, were comprised of:

	Gross Carrying Amount	Accumulated Amortization
Intangible assets with determinable lives	\$ 9,175	\$ (7,189)
Intangible assets with indefinite lives	19,544	—
Total identifiable intangible assets	<u>\$ 28,719</u>	<u>\$ (7,189)</u>

Intangible assets with determinable lives consist of brands, patents, technology and customer relationships. The intangible assets with indefinite lives primarily consist of brands. The amortization expense of determinable-lived intangible assets for the three months ended March 31, 2026 and 2025, was \$76 and \$78, respectively. For the nine months ended March 31, 2026 and 2025, amortization expense was \$232 and \$241, respectively.

Goodwill and indefinite-lived intangible assets are not amortized but are tested at least annually for impairment. We use the income method to estimate the fair value of these assets, which is based on forecasts of the expected future cash flows attributable to the respective assets. When appropriate, the market approach, which leverages comparable company revenue and earnings multiples, is weighted with the income approach to estimate fair value. If the resulting fair value is less than the asset's carrying value, that difference represents an impairment. Our annual impairment testing for goodwill and indefinite-lived intangible assets occurs during the three months ended December 31. Other than our Gillette indefinite-lived intangible asset, our goodwill reporting units and indefinite-lived intangible assets have fair values that significantly exceed their underlying carrying values.

Based on our impairment testing performed during the three months ended December 31, 2025, the Gillette indefinite-lived intangible asset's fair value exceeds its carrying value by greater than 10%. As of March 31, 2026, the carrying value of the Gillette indefinite-lived intangible asset was \$12.8 billion. While we have concluded that no triggering event has occurred during the quarter ended March 31, 2026, the Gillette indefinite-lived intangible asset is susceptible to impairment risk. Adverse changes in the business or in the macroeconomic environment, including foreign currency devaluation, increasing global inflation or market contraction from an economic recession, could reduce the underlying cash flows used to estimate the fair value of the Gillette indefinite-lived intangible asset and trigger an impairment charge.

The most significant assumptions utilized in the determination of the estimated fair value of the Gillette indefinite-lived intangible asset are the net sales growth rates (including residual growth rate), discount rate and royalty rate.

Net sales growth rates could be negatively impacted by reductions or changes in demand for our Gillette products, which may be caused by, among other things: changes in the use and frequency of grooming products, shifts in demand away from one or more of our higher priced products to lower priced products or potential supply chain constraints. In addition, relative global and country/regional macroeconomic factors could result in additional and prolonged devaluation of other countries' currencies relative to the U.S. dollar. The residual growth rate represents the expected rate at which the Gillette brand is expected to grow beyond the shorter-term business planning period. The residual growth rate utilized in our fair value estimates is consistent with the brand operating plans and approximates expected long-term category market growth rates. The residual growth rate depends on overall market growth rates, the competitive environment, inflation, relative currency exchange rates and business activities that impact market share. As a result, the residual growth rate could be adversely impacted by a sustained deceleration in category growth, grooming habit changes, devaluation of currencies against the U.S. dollar or an increased competitive environment.

The discount rate is based on a weighted average cost of capital that is likely to be expected by a market participant, including consideration of both debt and equity components of the capital structure. Our discount rate may be impacted by adverse changes in the macroeconomic environment, volatility in the equity and debt markets or other country specific factors, such as

Amounts in millions of dollars except per share amounts or as otherwise specified.

further devaluation of currencies against the U.S. dollar. Spot rates as of the fair value measurement date are utilized in our fair value estimates for cash flows outside the U.S.

The royalty rate used to determine the estimated fair value for the Gillette indefinite-lived intangible asset is driven by historical and estimated future profitability of the underlying Gillette business. The royalty rate may be impacted by significant adverse changes in long-term operating margins.

We performed a sensitivity analysis for the Gillette indefinite-lived intangible asset as part of our annual impairment testing during the three months ended December 31, 2025, utilizing reasonably possible changes in the assumptions for the discount rate, the short-term and residual growth rates and the royalty rate to demonstrate the potential impacts to estimated fair values. The table below provides, in isolation, the estimated fair value impacts related to a 25 basis-point increase in the discount rate, a 25 basis-point decrease in our short-term and residual growth rates or a 50 basis-point decrease in our royalty rate.

	Approximate Percent Change in Estimated Fair Value		
	+25 bps Discount Rate	-25 bps Growth Rates	-50 bps Royalty Rate
Gillette indefinite-lived intangible asset	(5)%	(5)%	(4)%

5. Earnings Per Share

Basic net earnings per common share are calculated by dividing Net earnings attributable to Procter & Gamble less preferred dividends by the weighted average number of common shares outstanding during the period. Diluted net earnings per common share are calculated by dividing Net earnings attributable to Procter & Gamble by the diluted weighted average number of common shares outstanding during the period. The diluted shares include the dilutive effect of stock options and other share-based awards based on the treasury stock method and the assumed conversion of preferred stock.

Net earnings per common share were calculated as follows:

<u>CONSOLIDATED AMOUNTS</u>	Three Months Ended March 31		Nine Months Ended March 31	
	2026	2025	2026	2025
Net earnings attributable to P&G (Diluted)	\$ 3,932	\$ 3,769	\$ 13,002	\$ 12,359
Less: Preferred dividends	72	71	218	215
Net earnings attributable to P&G available to common shareholders (Basic)	<u>\$ 3,860</u>	<u>\$ 3,698</u>	<u>\$ 12,784</u>	<u>\$ 12,144</u>
<u>SHARES IN MILLIONS</u>				
Basic weighted average common shares outstanding	2,328.5	2,347.2	2,335.3	2,351.8
Add effect of dilutive securities:				
Stock options and other unvested equity awards ⁽¹⁾	20.0	31.9	21.8	34.9
Convertible preferred shares ⁽²⁾	68.0	70.7	68.7	71.3
Diluted weighted average common shares outstanding	<u>2,416.5</u>	<u>2,449.8</u>	<u>2,425.8</u>	<u>2,458.0</u>
<u>NET EARNINGS PER COMMON SHARE</u>				
Basic	\$ 1.66	\$ 1.58	\$ 5.47	\$ 5.16
Diluted	\$ 1.63	\$ 1.54	\$ 5.36	\$ 5.03

⁽¹⁾ For the three months ended March 31, 2026 and 2025, the weighted average of stock options that were antidilutive and not included in the diluted net earnings per share calculation were 22 million and 8 million, respectively. For the nine months ended March 31, 2026 and 2025, the weighted average of stock options that were antidilutive and not included in the diluted net earnings per share calculation were 20 million and 6 million, respectively.

⁽²⁾ An overview of preferred shares can be found in our Annual Report on Form 10-K for the fiscal year ended June 30, 2025.

6. Share-Based Compensation and Postretirement Benefits

The following table provides a summary of our share-based compensation expense and postretirement benefit impacts:

	Three Months Ended March 31		Nine Months Ended March 31	
	2026	2025	2026	2025
Share-based compensation expense	\$ 132	\$ 123	\$ 394	\$ 364
Net periodic benefit cost for pension benefits	27	29	93	92
Net periodic benefit (credit) for other retiree benefits	(153)	(180)	(456)	(541)

Amounts in millions of dollars except per share amounts or as otherwise specified.

7. Risk Management Activities and Fair Value Measurements

As a multinational company with diverse product offerings, we are exposed to market risks, such as changes in interest rates, currency exchange rates and commodity prices. There have been no significant changes in our risk management policies or activities during the nine months ended March 31, 2026.

The Company has not changed its valuation techniques used in measuring the fair value of any financial assets and liabilities during the period. The Company recognizes transfers between levels within the fair value hierarchy, if any, at the end of each quarter. There were no transfers between levels during the periods presented. Also, there was no significant activity within the Level 3 assets and liabilities during the periods presented. There were no significant assets or liabilities that were re-measured at fair value on a non-recurring basis during the periods presented.

Cash equivalents were \$11.1 billion and \$8.3 billion as of March 31, 2026 and June 30, 2025, respectively, and are classified as Level 1 within the fair value hierarchy. The Company had no other material investments in debt or equity securities during the periods presented.

The fair value of long-term debt was \$29.4 billion and \$29.5 billion as of March 31, 2026 and June 30, 2025, respectively. This includes the current portion of long-term debt instruments (\$6.5 billion and \$5.3 billion as of March 31, 2026 and June 30, 2025, respectively). Certain long-term debt (debt designated as a fair value hedge) is recorded at fair value. All other long-term debt is recorded at amortized cost but is measured at fair value for disclosure purposes. We consider our debt to be Level 2 in the fair value hierarchy. Fair values are generally estimated based on quoted market prices for identical or similar instruments.

Disclosures about Financial Instruments

The notional amounts and fair values of financial instruments used in hedging transactions as of March 31, 2026 and June 30, 2025, are as follows:

	Notional Amount		Fair Value Asset		Fair Value (Liability)	
	March 31, 2026	June 30, 2025	March 31, 2026	June 30, 2025	March 31, 2026	June 30, 2025
DERIVATIVES IN FAIR VALUE HEDGING RELATIONSHIPS						
Interest rate contracts	\$ 5,262	\$ 3,280	\$ —	\$ —	\$ (230)	\$ (201)
DERIVATIVES IN NET INVESTMENT HEDGING RELATIONSHIPS						
Foreign currency interest rate contracts	\$ 9,860	\$ 11,874	\$ 80	\$ —	\$ (321)	\$ (860)
TOTAL DERIVATIVES DESIGNATED AS HEDGING INSTRUMENTS	\$ 15,122	\$ 15,154	\$ 80	\$ —	\$ (551)	\$ (1,061)
DERIVATIVES NOT DESIGNATED AS HEDGING INSTRUMENTS						
Foreign currency contracts	\$ 4,226	\$ 3,576	\$ 8	\$ 19	\$ (17)	\$ —
TOTAL DERIVATIVES AT FAIR VALUE	\$ 19,348	\$ 18,730	\$ 88	\$ 19	\$ (568)	\$ (1,062)

The fair value of the interest rate derivative asset/(liability) directly offsets the cumulative amount of the fair value hedging adjustment included in the carrying amount of the underlying debt obligation. The carrying amount of the underlying debt obligation, which includes the unamortized discount or premium and the fair value adjustment, was \$5.0 billion and \$3.1 billion as of March 31, 2026 and June 30, 2025, respectively. In addition to the foreign currency derivative contracts designated as net investment hedges, certain of our foreign currency denominated debt instruments are designated as net investment hedges. The carrying value of those debt instruments designated as net investment hedges, which includes the adjustment for the foreign currency transaction gain or loss on those instruments, was \$12.1 billion and \$11.2 billion as of March 31, 2026 and June 30, 2025, respectively. The increase in the notional balance of interest rate contracts designated as fair value hedges is driven by debt portfolio rebalancing to meet interest rate risk management objectives. The decrease in the notional balance of derivative instruments designated as net investment hedges was primarily driven by the maturity of certain swaps, consistent with the Company's ongoing management of its hedge portfolio.

Derivative assets are presented in Prepaid expenses and other current assets or Other noncurrent assets. Derivative liabilities are presented in Accrued and other liabilities or Other noncurrent liabilities. Changes in the fair value of net investment hedges are recognized in the Foreign currency translation component of Other comprehensive income (OCI). All of the Company's derivative assets and liabilities measured at fair value are classified as Level 2 within the fair value hierarchy.

Certain of the Company's financial instruments used in hedging transactions are governed by industry standard netting and collateral agreements with counterparties. If the Company's credit rating were to fall below the levels stipulated in the agreements,

the counterparties could demand either collateralization or termination of the arrangements. The aggregate fair value of the instruments covered by these contractual features that are in a liability position was \$477 and \$1.1 billion as of

Amounts in millions of dollars except per share amounts or as otherwise specified.

March 31, 2026 and June 30, 2025, respectively. The Company has not been required to post collateral as a result of these contractual features.

Before tax gains and losses on our financial instruments in hedging relationships are categorized as follows:

	Amount of Gain/(Loss) Recognized in OCI on Derivatives			
	Three Months Ended March 31		Nine Months Ended March 31	
	2026	2025	2026	2025
DERIVATIVES IN NET INVESTMENT HEDGING RELATIONSHIPS ^{(1) (2)}				
Foreign currency interest rate contracts	\$ 208	\$ (473)	\$ 205	\$ (117)

⁽¹⁾ For the derivatives in net investment hedging relationships, the amount of gain excluded from effectiveness testing, which was recognized in earnings, was \$56 and \$60 for the three months ended March 31, 2026 and 2025, respectively. The amount of gain excluded from effectiveness testing was \$191 and \$167 for the nine months ended March 31, 2026 and 2025, respectively.

⁽²⁾ In addition to the foreign currency derivative contracts designated as net investment hedges, certain of our foreign currency denominated debt instruments are designated as net investment hedges. The amount of gain/(loss) recognized in Accumulated other comprehensive income (AOCI) for such instruments was \$279 and \$(436) for the three months ended March 31, 2026 and 2025, respectively. The amount of gain/(loss) recognized in AOCI for such instruments was \$318 and \$(221) for the nine months ended March 31, 2026 and 2025, respectively.

	Amount of Gain/(Loss) Recognized in Earnings			
	Three Months Ended March 31		Nine Months Ended March 31	
	2026	2025	2026	2025
DERIVATIVES IN FAIR VALUE HEDGING RELATIONSHIPS				
Interest rate contracts	\$ (24)	\$ (2)	\$ (29)	\$ 109
DERIVATIVES NOT DESIGNATED AS HEDGING INSTRUMENTS				
Foreign currency contracts	\$ (1)	\$ 30	\$ 21	\$ (19)

The gains/(losses) on the derivatives in fair value hedging relationships are fully offset by the mark-to-market impact of the related exposure. These are both recognized in Interest expense. The gains/(losses) on derivatives not designated as hedging instruments are substantially offset by the currency mark-to-market of the related exposure. These are both recognized in Selling, general and administrative expense (SG&A).

8. Accumulated Other Comprehensive Income/(Loss)

The table below presents the changes in Accumulated other comprehensive income/(loss) attributable to Procter & Gamble (AOCI), including the reclassifications out of AOCI by component:

	Investment Securities	Postretirement Benefit Plans	Foreign Currency Translation	Total AOCI
BALANCE AT JUNE 30, 2025, NET OF TAX	\$ 9	\$ (777)	\$ (11,375)	\$ (12,143)
Other comprehensive income/(loss), before tax:				
OCI before reclassifications	2	4	(63)	(58)
Amounts reclassified to the Consolidated Statement of Earnings	—	15	—	15
Total other comprehensive income/(loss), before tax	2	18	(63)	(43)
Tax effect	(1)	(4)	(123)	(128)
Total other comprehensive income/(loss), net of tax	1	14	(186)	(171)
Less: OCI attributable to noncontrolling interests, net of tax	—	—	(16)	(16)
BALANCE AT MARCH 31, 2026, NET OF TAX	\$ 10	\$ (763)	\$ (11,545)	\$ (12,298)

Foreign currency translation includes financial statement translation and changes in fair value of net investment hedges (see Note 7).

Postretirement benefit plan amounts are reclassified from AOCI into Other non-operating income/(expense), net and included in the computation of net periodic postretirement costs.

9. Commitments and Contingencies

Litigation

We are subject, from time to time, to certain legal proceedings and claims arising out of our business, which cover a wide range of matters, including antitrust and trade regulation, product liability, advertising, contracts, environmental, patent and trademark matters, labor and employment matters and tax. While considerable uncertainty exists, in the opinion of management and our

Amounts in millions of dollars except per share amounts or as otherwise specified.

counsel, the ultimate resolution of the various lawsuits and claims will not materially affect our financial position, results of operations or cash flows.

We are also subject to contingencies pursuant to environmental laws and regulations that in the future may require us to take action to correct the effects on the environment of prior manufacturing and waste disposal practices. Based on currently available information, we do not believe the ultimate resolution of environmental remediation will materially affect our financial position, results of operations or cash flows.

Income Tax Uncertainties

The Company is present in about 70 countries and over 150 taxable jurisdictions and, at any point in time, has 30–40 jurisdictional audits underway at various stages of completion. We evaluate our tax positions and establish liabilities for uncertain tax positions that may be challenged by local authorities and may not be fully sustained, despite our belief that the underlying tax positions are fully supportable. Uncertain tax positions are reviewed on an ongoing basis and are adjusted in light of changing facts and circumstances, including progress of tax audits, developments in case law and closing of statutes of limitations. Such adjustments are reflected in the tax provision as appropriate. We have tax years open ranging from 2013 and forward. We are generally not able to reliably estimate the timing and ultimate settlement amounts until the close of an audit. Based on information currently available, we anticipate over the next 12-month period, audit activity could be completed related to uncertain tax positions in multiple jurisdictions for which we have accrued liabilities of approximately \$121, including interest and penalties.

Additional information on the Commitments and Contingencies of the Company can be found in our Annual Report on Form 10-K for the fiscal year ended June 30, 2025.

10. Supplier Finance Programs

The Company has an ongoing program to negotiate extended payment terms with its suppliers consistent with market practices. The Company also supports a Supply Chain Finance program (“SCF”) with several global financial institutions. Under SCF, the Company maintains an accounts payable system to facilitate participating suppliers' ability to sell receivables from the Company to a SCF bank. These participating suppliers negotiate their sales of receivables arrangements directly with the respective SCF bank. The Company is not party to those agreements, but the SCF banks allow the suppliers to utilize the Company's creditworthiness in establishing credit spreads and associated costs. Under this model, this arrangement generally provides the suppliers with more favorable terms than they would be able to secure on their own. The Company has no economic interest in a supplier's decision to sell a receivable. Once a qualifying supplier chooses to participate in SCF, the supplier selects which individual Company invoices to sell to the SCF bank. The Company's obligations to its suppliers, including the amounts due and scheduled payment dates, are not impacted by the supplier's decisions to finance amounts under these arrangements. The Company does not provide any form of guarantee under these financing arrangements. Our payment terms for suppliers under this program generally range from 60 to 180 days. All outstanding amounts related to suppliers participating in SCF are recorded within Accounts payable in our Consolidated Balance Sheets, and the associated payments are included in operating activities within our Consolidated Statements of Cash Flows. The amount due to suppliers participating in SCF and included in Accounts payable was approximately \$5.7 billion as of March 31, 2026 and \$5.8 billion as of June 30, 2025.

11. Restructuring Program

The Company has historically incurred an ongoing annual level of restructuring-type activities to maintain a competitive cost structure, including manufacturing and workforce optimization. Before tax costs incurred under the ongoing program have generally ranged from \$250 to \$500 annually. Consistent with our historical policies for restructuring-type activities, the restructuring program charges will be funded by and included within Corporate for management and segment reporting.

In June 2025, the Company announced a portfolio and productivity plan to streamline its portfolio and organization to improve its cost structure and competitiveness. The Company expects to incur approximately \$1.5 to \$2.0 billion in before-tax restructuring costs over two years. The Company expects to incur over half of the costs under this plan by the end of fiscal 2026, with the remainder incurred in fiscal 2027.

The restructuring activities will be executed across the Sector Business Units as well as the Enterprise Markets, Corporate Functions and Global Business Services. These restructuring activities include a plan for a reduction of up to 7,000 non-manufacturing overhead personnel by the end of fiscal 2027. In addition, the plan includes brand and market exits as well as the optimization of the supply chain and other manufacturing processes.

Costs incurred under the plan will consist primarily of costs to separate employees and asset-related costs to exit facilities. The Company will also incur other types of costs outlined below as a direct result of the plan. For the three months ended March 31, 2026, the Company incurred total before tax charges of \$198 including \$138 in Costs of products sold, \$53 in SG&A and \$6 in Other non-operating income/(expense), net. For the nine months ended March 31, 2026, the Company incurred charges of \$782 including \$418 in Costs of products sold, \$330 in SG&A and \$33 in Other non-operating income/(expense), net.

Amounts in millions of dollars except per share amounts or as otherwise specified.

The following table presents restructuring activity for the nine months ended March 31, 2026:

	Separations	Asset Related Costs	Other	Total
RESERVE JUNE 30, 2025	\$ 120	\$ —	\$ 69	\$ 189
Costs incurred for the six months ended December 31, 2025	322	109	152	584
Costs incurred for the three months ended March 31, 2026	133	53	12	198
Costs incurred for the nine months ended March 31, 2026	455	162	164	782
Costs paid/settled for the nine months ended March 31, 2026	(382)	(162)	(157)	(701)
RESERVE MARCH 31, 2026	\$ 193	\$ —	\$ 76	\$ 269

Separation Costs

Employee separation costs relate to severance packages that are primarily voluntary and the amounts calculated are based on salary levels and past service periods.

Asset-Related Costs

Asset-related costs consist of both asset write-downs and accelerated depreciation for manufacturing consolidations. Asset write-downs relate to the establishment of a new fair value basis for assets held-for-sale or for disposal. These assets are written down to the lower of their current carrying basis or amounts expected to be realized upon disposal, less minor disposal costs. Charges for accelerated depreciation relate to long-lived assets that will be taken out of service prior to the end of their normal service period.

Other Costs

Other restructuring-type charges are incurred as a direct result of the restructuring plan. Such charges include asset removal and termination of contracts related to supply chain redesign.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Forward-Looking Statements

Certain statements in this report, other than purely historical information, including estimates, projections, statements relating to our business plans, objectives and expected operating results, and the assumptions upon which those statements are based, are "forward-looking statements" within the meaning of the Private Securities Litigation Reform Act of 1995, Section 27A of the Securities Act of 1933 and Section 21E of the Securities Exchange Act of 1934. Forward-looking statements may appear throughout this report, including without limitation, in the following sections: "Management's Discussion and Analysis," "Risk Factors" and "Notes 4 and 9 to the Consolidated Financial Statements." These forward-looking statements generally are identified by the words "believe," "project," "expect," "anticipate," "estimate," "intend," "strategy," "future," "opportunity," "plan," "may," "should," "will," "would," "will be," "will continue," "will likely result" and similar expressions. Forward-looking statements are based on current expectations and assumptions, which are subject to risks and uncertainties that may cause results to differ materially from those expressed or implied in the forward-looking statements. We undertake no obligation to update or revise publicly any forward-looking statements, whether because of new information, future events or otherwise, except to the extent required by law.

Risks and uncertainties to which our forward-looking statements are subject include, without limitation: (1) the ability to successfully manage global financial risks, including foreign currency fluctuations, changes in global interest rates and rate differentials, currency exchange, or pricing controls and tariffs; (2) the ability to successfully manage local, regional or global economic volatility, including reduced market growth rates, and to generate sufficient income and cash flow to allow the Company to effect the expected share repurchases and dividend payments; (3) the ability to successfully manage uncertainties related to changing political and geopolitical conditions and potential implications such as exchange rate fluctuations, market contraction, boycotts, variability and unpredictability in trade relations, sanctions, tariffs or other trade controls; (4) the ability to manage disruptions in credit markets or to our banking partners or changes to our credit rating; (5) the ability to maintain key manufacturing and supply arrangements (including execution of supply chain optimizations and sole supplier and sole manufacturing plant arrangements) and to manage disruption of business due to various factors, including ones outside of our control, such as natural disasters, conflicts or acts of war (such as the conflict in the Middle East), terrorism or disease outbreaks; (6) the ability to successfully manage cost fluctuations and pressures, including prices of commodities and raw materials and costs of labor, transportation, energy, pensions and healthcare; (7) the ability to compete with our local and global competitors in new and existing sales channels, including by successfully responding to competitive factors such as prices, promotional incentives and trade terms for products; (8) the ability to manage and maintain key customer relationships; (9) the ability to protect our reputation and brand equity by successfully managing real or perceived issues, including concerns about safety, quality, ingredients, efficacy, packaging content, supply chain practices, social or environmental practices or similar matters that may arise; (10) the ability to

successfully manage the financial, legal, reputational and operational risk associated with third-party relationships, such as our suppliers, contract manufacturers, distributors, contractors and external business

Amounts in millions of dollars except per share amounts or as otherwise specified.

partners; (11) the ability to rely on and maintain key company and third-party information and operational technology systems, networks and services and maintain the security and functionality of such systems, networks and services and the data contained therein; (12) the ability to successfully manage the demand, supply and operational challenges, as well as governmental responses or mandates, associated with a disease outbreak, including epidemics, pandemics or similar widespread public health concerns; (13) the ability to stay on the leading edge of innovation, obtain necessary intellectual property protections and successfully respond to changing consumer habits, evolving digital marketing and selling platform requirements and technological advances attained by, and patents granted to, competitors; (14) the ability to successfully manage our ongoing acquisition, divestiture and joint venture activities, in each case to achieve the Company's overall business strategy and financial objectives, without impacting the delivery of base business objectives; (15) the ability to successfully achieve productivity improvements and cost savings and manage ongoing organizational changes while successfully identifying, developing and retaining key employees, including in key growth markets where the availability of skilled or experienced employees may be limited; (16) the ability to successfully manage current and expanding regulatory and legal requirements and matters (including, without limitation, those laws, regulations, policies and related interpretations involving product liability, product and packaging composition, manufacturing processes, intellectual property, labor and employment, antitrust, privacy, cybersecurity, data protection and data transfers, artificial intelligence, tax, the environment, due diligence, risk oversight, accounting and financial reporting) and to resolve new and pending matters within current estimates; (17) the ability to manage changes in applicable tax laws and regulations; and (18) the ability to continue delivering progress towards our environmental sustainability ambitions. A detailed discussion of risks and uncertainties that could cause actual results and events to differ materially from those projected herein is included in the section titled "Economic Conditions and Uncertainties" and the section titled "Risk Factors" (Part II, Item 1A) of this Form 10-Q.

Purpose, Approach and Non-GAAP Measures

The purpose of Management's Discussion and Analysis (MD&A) is to provide an understanding of Procter & Gamble's financial condition, results of operations and cash flows by focusing on changes in certain key measures from year to year. The MD&A is provided as a supplement to, and should be read in conjunction with, our Consolidated Financial Statements and accompanying Notes.

The MD&A is organized in the following sections:

- Overview
- Recent Developments
- Summary of Results – Nine Months Ended March 31, 2026
- Economic Conditions and Uncertainties
- Results of Operations – Three and Nine Months Ended March 31, 2026
- Segment Results – Three and Nine Months Ended March 31, 2026
- Liquidity and Capital Resources
- Measures Not Defined by U.S. GAAP

Throughout the MD&A we refer to measures used by management to evaluate performance, including unit volume growth, net sales, net earnings, diluted net earnings per common share (diluted EPS) and operating cash flow. We also refer to a number of financial measures that are not defined under U.S. GAAP, consisting of organic sales growth, Core earnings per share (Core EPS), adjusted free cash flow and adjusted free cash flow productivity. The explanation at the end of the MD&A provides the definition of these non-GAAP measures, details on the use and the derivation of these measures, as well as reconciliations to the most directly comparable U.S. GAAP measure.

Management also uses certain market share and market consumption estimates to evaluate performance relative to competition despite some limitations on the availability and comparability of share and consumption information. References to market share and consumption in the MD&A are based on a combination of vendor-purchased traditional brick-and-mortar and online data in key markets as well as internal estimates. All market share references represent the percentage of sales of our products in dollar terms on a constant currency basis relative to all product sales in the category. The Company measures quarter and fiscal year to date market share through the most recent period for which market share data is available, which typically reflects a lag time of one or two months as compared to the end of the reporting period. Management also uses unit volume growth to evaluate drivers of changes in net sales. Organic volume growth reflects year-over-year changes in unit volume excluding the impacts of acquisitions and divestitures and certain one-time items, if applicable, and is used to explain changes in organic sales. In the presentation of data in tables or other charts, certain columns and rows may not add due to rounding.

OVERVIEW

P&G is a global leader in the fast-moving consumer goods industry, focused on providing branded consumer packaged goods of superior quality and value to our consumers around the world. Our products are sold in about 180 countries and territories,

primarily through mass merchandisers, e-commerce (including social commerce) channels, grocery stores, membership club stores, drug stores, department stores, distributors, wholesalers, specialty beauty stores (including airport duty-free stores),

high-frequency stores, pharmacies, electronics stores and professional channels. We also sell direct to individual consumers. We have on-the-ground operations in about 70 countries.

Our market environment is highly competitive with global, regional and local competitors. In many of the markets and industry segments in which we sell our products, we compete against other branded products as well as retailers' private-label brands. Additionally, many of the product segments in which we compete are differentiated by price tiers (referred to as super-premium, premium, mid-tier and value-tier products). We believe we are well positioned in the industry segments and markets in which we operate, often holding a leadership or significant market share position.

The table below lists our reportable segments, including the product categories and brand composition within each segment.

Reportable Segments	Product Categories (Sub-Categories)	Major Brands
Beauty	Hair Care (<i>Conditioners, Shampoos, Styling Aids, Treatments</i>)	Head & Shoulders, Herbal Essences, Pantene, Rejoice
	Personal Care ⁽¹⁾ (<i>Antiperspirants and Deodorants, Personal Cleansing</i>)	Native, Old Spice, Safeguard, Secret
	Skin Care ⁽¹⁾ (<i>Facial Moisturizers, Cleaners and Treatments</i>)	Olay, SK-II
Grooming	Grooming (<i>Appliances, Female Blades & Razors, Male Blades & Razors, Pre- and Post-Shave Products, Other Grooming</i>)	Braun, Gillette, Venus
Health Care	Oral Care (<i>Toothbrushes, Toothpastes, Other Oral Care</i>)	Crest, Oral-B
	Personal Health Care (<i>Gastrointestinal, Pain Relief, Rapid Diagnostics, Respiratory, Vitamins/Minerals/Supplements, Other Personal Health Care</i>)	Metamucil, Neurobion, Pepto-Bismol, Vicks
	Fabric Care (<i>Fabric Enhancers, Laundry Additives, Laundry Detergents</i>)	Ariel, Downy, Gain, Tide
Fabric & Home Care	Home Care (<i>Air Care, Dish Care, P&G Professional, Surface Care</i>)	Cascade, Dawn, Fairy, Febreze, Mr. Clean, Swiffer
	Baby Care (<i>Baby Wipes, Taped Diapers and Pants</i>)	Luvs, Pampers
Baby, Feminine & Family Care	Feminine Care (<i>Adult Incontinence, Menstrual Care</i>)	Always, Always Discreet, Tampax
	Family Care (<i>Paper Towels, Tissues, Toilet Paper</i>)	Bounty, Charmin, Puffs

⁽¹⁾ Effective July 1, 2024, the Beauty reportable business segment separated Skin and Personal Care into individual operating segments, Skin Care and Personal Care. This transition included separation of the management team, strategic decision-making, innovation plans, financial targets, budgets and management reporting.

Throughout the MD&A, we reference business results by region, which are comprised of North America, Europe, Greater China, Latin America, Asia Pacific and India, Middle East and Africa (IMEA).

The following table provides the percentage of net sales and net earnings by reportable business segment (excluding Corporate) for the three and nine months ended March 31, 2026:

	Three Months Ended March 31, 2026		Nine Months Ended March 31, 2026	
	Net Sales	Net Earnings	Net Sales	Net Earnings
Beauty	18 %	15 %	18 %	17 %
Grooming	8 %	9 %	8 %	9 %
Health Care	15 %	15 %	15 %	16 %
Fabric & Home Care	35 %	35 %	35 %	34 %
Baby, Feminine & Family Care	24 %	26 %	24 %	24 %
Total Company	100 %	100 %	100 %	100 %

RECENT DEVELOPMENTS

Limited Market Portfolio Restructuring

In the fiscal year ended June 30, 2024, the Company started a limited market portfolio restructuring of its business operations, primarily in certain Enterprise Markets, including Argentina and Nigeria, to address challenging macroeconomic and fiscal conditions. During the period ended September 30, 2024, the Company completed this limited market portfolio restructuring with the substantial liquidation of its operations in Argentina and recorded incremental restructuring charges of approximately \$0.8

billion after tax, comprised primarily of non-cash charges for accumulated foreign currency translation losses previously included in Accumulated other comprehensive income/(loss). The total incremental restructuring charges incurred under the

program beginning in the three-month period ended December 31, 2023, through the three-month period ended September 30, 2024, were approximately \$1.2 billion after tax.

Focused Portfolio, Supply Chain and Productivity Plan

In June 2025, the Company announced a portfolio and productivity plan to streamline its portfolio and organization to improve its cost structure and competitiveness. The Company expects to incur approximately \$1.5 to \$2.0 billion in before-tax restructuring costs over a two-year period. The Company expects to incur over half of the costs under this plan by the end of fiscal 2026, with the remainder incurred in fiscal 2027. The restructuring activities will be executed across the Sector Business Units as well as the Enterprise Markets, Corporate Functions and Global Business Services. These restructuring activities include a plan for a reduction of up to 7,000 non-manufacturing overhead personnel by the end of fiscal 2027.

Consistent with our historical policies for ongoing restructuring-type activities, resulting charges were funded by and included within Corporate for segment reporting. Restructuring charges above the normal ongoing level of restructuring costs are reported as non-core charges. For more details on the restructuring program, refer to Note 11 to the Consolidated Financial Statements.

Glad Joint Venture Agreement

In January 2026, the Glad joint venture agreement between the Company and The Clorox Company (Clorox) expired. Under the terms of the agreement, Clorox purchased the Company's minority interest in the venture at fair market value, for \$476 million. This transaction was accounted for as a dissolution of the Glad joint venture business and the Company recorded an after-tax gain of \$261 million.

U.S. Tariffs

On February 20, 2026, the U.S. Supreme Court ruled that the tariffs imposed under the International Emergency Economic Powers Act (IEEPA) were invalid. The Company previously paid approximately \$200 million in IEEPA tariffs that may be recoverable. The Company has not yet recognized any recovery in its consolidated financial statements.

SUMMARY OF RESULTS – Nine Months Ended March 31, 2026

The following are highlights of results for the nine months ended March 31, 2026, versus the nine months ended March 31, 2025:

- Net sales were \$65.8 billion, an increase of \$2.4 billion, or 4%, versus the prior year period. Net sales increased high single digits in Beauty, mid-single digits in Grooming and Health Care, and low single digits in Fabric & Home Care and Baby, Feminine & Family Care. Organic sales, which exclude the impacts of acquisitions and divestitures and foreign exchange, increased 2% versus the prior year period. Organic sales increased mid-single digits in Beauty, low single digits in Health Care, Grooming and Fabric & Home Care and were unchanged in Baby, Feminine & Family Care.
- Net earnings were \$13.1 billion, an increase of \$624 million, or 5%, versus the prior year period due to higher restructuring charges related to the substantial liquidation of operations in certain Enterprise Markets, including Argentina, in the prior year period.
- Net earnings attributable to Procter & Gamble were \$13.0 billion, an increase of \$643 million, or 5%, versus the prior year period.
- Diluted EPS increased 7% to \$5.36 due to the increase in net earnings. Core EPS, which excludes the gain from the dissolution of the Glad joint venture business and incremental restructuring charges, increased 2% to \$5.46.
- Operating cash flow was \$14.4 billion. Adjusted free cash flow, which is defined as operating cash flow less capital expenditures and excluding payments for the transitional tax resulting from the 2017 U.S. Tax Act, was \$11.7 billion. Adjusted free cash flow productivity, which is defined as adjusted free cash flow as a percentage of net earnings excluding the gain from the dissolution of the Glad joint venture business, was 92%.

ECONOMIC CONDITIONS AND UNCERTAINTIES

Global Economic Conditions. Our products are sold in numerous countries worldwide, with more than half our sales generated outside the United States. Our largest international markets are Greater China, the United Kingdom, Canada, Japan and Germany and collectively comprised approximately 21% of our net sales in fiscal 2025. As a result, we are exposed to global macroeconomic factors, geopolitical tensions and government policies. We are exposed to various risks due to economic, political and social instabilities, market volatility, natural disasters, debt and credit issues, currency controls, new or increased tariffs, foreign exchange, the availability and cost of materials and interest rate changes. These risks can negatively impact our net sales, net earnings and cash flows. For example, we are exposed to risks due to the conflict in the Middle East and the ongoing war between Russia and Ukraine. Our Russia business accounted for 1% of consolidated net sales, net earnings and net assets as of June 30, 2025.

Foreign Exchange. We have significant exposure to exchange rate fluctuations, both due to translation and transaction exposures. Translation exposures arise from measuring income statements of foreign subsidiaries with functional currencies other than the U.S. dollar. Transaction exposures involve impacts from 1) input costs that are denominated in currencies other than the local reporting currency and 2) revaluation of working capital balances denominated in currencies other than the

functional currency. We have experienced significant foreign exchange impacts in the past due to the weakening of certain foreign currencies versus the U.S. dollar, which have negatively impacted net sales, net earnings and cash flows. In response to the devaluation of foreign currencies (including those deemed highly inflationary), any lags or inability (due to government restrictions) to implement price increases or the negative impacts of such actions on product consumption may lead to a decline in our net sales, net earnings and cash flows.

Commodities and Supply Chain. Our costs are subject to fluctuations due to changes in commodity and input material prices, transportation costs, inflationary impacts and productivity efforts. We have significant exposures to certain commodities and input materials, in particular certain oil-derived materials like resins and paper-based materials like pulp. Volatility in the market price of commodities and input materials directly affects our costs. Disruptions in manufacturing, supply and distribution operations can lead to increased costs. Legal or regulatory requirements and sustainability initiatives may result in increased costs. We strive to implement, achieve and sustain cost improvement plans, including supply chain optimization and general overhead and workforce optimization. Increased pricing in response to certain inflationary or cost increases may also offset portions of the cost impacts; however, such price increases may negatively impact product consumption. If we are unable to manage cost impacts through pricing actions and consistent productivity improvements, it may negatively impact our net sales, net earnings and cash flows.

Government Policies. We are exposed to changes in U.S. and foreign government legislative, regulatory or enforcement policies that can have a negative impact on net sales, net earnings and cash flows. These include tax policy changes (both U.S. and foreign), including those resulting from the current work being led by the OECD/G20 Inclusive Framework focused on "Addressing the Challenges of the Digitalization of the Economy". Government controls such as currency exchanges, pricing and import authorizations as well as government policies related to environmental and climate change matters and changes to international trade agreements, including tariffs, can also impact our financial performance.

For additional information on risk factors that could impact our business results, please refer to Risk Factors in Part I, Item 1A of the Company's Form 10-K for the fiscal year ended June 30, 2025.

RESULTS OF OPERATIONS – Three Months Ended March 31, 2026

The following discussion provides a review of results for the three months ended March 31, 2026, versus the three months ended March 31, 2025.

<u>Amounts in millions, except per share amounts</u>	Three Months Ended March 31		
	2026	2025	% Chg
Net sales	\$ 21,235	\$ 19,776	7%
Operating income	4,576	4,558	—%
Earnings before income taxes	4,989	4,661	7%
Net earnings	3,951	3,793	4%
Net earnings attributable to Procter & Gamble	3,932	3,769	4%
Diluted net earnings per common share	1.63	1.54	6%
Core net earnings per common share	1.59	1.54	3%

<u>COMPARISONS AS A PERCENTAGE OF NET SALES</u>	Three Months Ended March 31		
	2026	2025	Basis Pt Chg
Gross margin	49.5 %	51.0 %	(150)
Selling, general & administrative expense	28.0 %	27.9 %	10
Operating income	21.5 %	23.0 %	(150)
Earnings before income taxes	23.5 %	23.6 %	(10)
Net earnings	18.6 %	19.2 %	(60)
Net earnings attributable to Procter & Gamble	18.5 %	19.1 %	(60)

Net Sales

Net sales for the quarter increased 7% to \$21.2 billion. The increase in net sales was due to favorable foreign exchange of 4%, a unit volume increase of 2% and higher pricing of 1%. Mix was unchanged. Excluding the impact of acquisitions and divestitures and foreign exchange, organic sales increased 3%.

The following table summarizes key drivers of the change in net sales by reportable segment:

Net Sales Change Drivers 2026 vs. 2025 (Three Months Ended March 31) ⁽¹⁾							
	Volume with Acquisitions & Divestitures	Volume Excluding Acquisitions & Divestitures	Foreign Exchange	Price	Mix	Other ⁽²⁾	Net Sales Growth
Beauty	5 %	5 %	4 %	1 %	1 %	— %	11 %
Grooming	(2) %	(2) %	6 %	3 %	— %	— %	7 %
Health Care	(2) %	(2) %	5 %	2 %	1 %	1 %	7 %
Fabric & Home Care	2 %	2 %	4 %	1 %	— %	— %	7 %
Baby, Feminine & Family Care	3 %	3 %	3 %	— %	— %	— %	6 %
Total Company	2 %	2 %	4 %	1 %	— %	— %	7 %

(1) Net sales percentage changes are approximations based on quantitative formulas that are consistently applied.

(2) Other includes the sales mix impact from acquisitions and divestitures and rounding impacts necessary to reconcile volume to net sales.

Operating Costs

Gross margin decreased 150 basis points to 49.5% of net sales for the quarter. The decrease in gross margin was due to:

- 180 basis points of decline from unfavorable product mix,
- 100 basis points of product and packaging investments,
- 50 basis points of higher restructuring costs,
- 50 basis points of higher costs from tariffs,
- 20 basis points of other items and rounding and
- 10 basis points of higher commodity costs.

These impacts were partially offset by:

- 210 basis points of manufacturing productivity savings and
- 50 basis points of increase due to higher pricing.

Total SG&A spending increased 7% to \$5.9 billion versus the prior year period due to increased marketing spending and overhead costs. SG&A as a percentage of net sales increased 10 basis points to 28.0% due primarily to an increase in marketing spending as a percentage of net sales, partially offset by a decrease in overhead costs as a percentage of net sales and a decrease in other operating expenses as a percentage of net sales. Marketing spending as a percentage of net sales increased 20 basis points as the positive scale impacts of the net sales increase and productivity savings were more than offset by an increase in marketing spending. Overhead costs as a percentage of net sales decreased 10 basis points driven by productivity savings and the positive scale impacts of the net sales increase, partially offset by wage inflation, adjustments to expected variable compensation payouts and restructuring spending. Other operating expenses as a percentage of net sales decreased 10 basis points. Productivity-driven cost savings delivered 120 basis points of benefit to SG&A as a percentage of net sales.

Operating income was unchanged at \$4.6 billion as the increase in net sales was offset by a decrease in gross margin and an increase in SG&A spending, the components of which are described above. Operating margin decreased 150 basis points to 21.5% versus the prior year period due primarily to the decrease in gross margin and increase in restructuring charges in the current year.

Non-Operating Expenses and Income

Interest expense was \$223 million for the quarter, an increase of \$6 million versus the prior year period. Interest income was \$100 million for the quarter, a decrease of \$11 million versus the prior year period. Other non-operating income/(expense), net was \$537 million, which is an increase of \$327 million versus the prior year period due primarily to the gain from the dissolution of the Glad joint venture business in the current year.

Income Taxes

The effective income tax rate for the three months ended March 31, 2026, was 20.8%, compared to 18.6% for the three months ended March 31, 2025. The increase in the effective tax rate was primarily driven by a 100 basis-point increase due to discrete impacts related to uncertain tax positions, lower excess tax benefits of share-based compensation in the current year and unfavorable geographic mix impacts.

Net Earnings

Net earnings were \$4.0 billion, an increase of \$158 million, or 4%, versus the prior year period due to the increase in other non-operating income/(expense), net, partially offset by the increase in income taxes, the details of which are described above. Foreign exchange had a positive impact of approximately \$101 million on net earnings for the quarter, including both transactional and translational impacts from converting earnings from foreign subsidiaries to U.S. dollars. Net earnings attributable to Procter & Gamble were \$3.9 billion, an increase of \$163 million, or 4%, for the quarter. Diluted EPS increased 6% to \$1.63 versus the prior year period. Core EPS, which represents diluted EPS excluding the gain from the dissolution of the Glad joint venture business and charges for incremental restructuring, increased 3% to \$1.59.

RESULTS OF OPERATIONS – Nine Months Ended March 31, 2026

The following discussion provides a review of results for the nine months ended March 31, 2026, versus the nine months ended March 31, 2025.

<u>Amounts in millions, except per share amounts</u>	Nine Months Ended March 31		
	2026	2025	% Chg
Net sales	\$ 65,828	\$ 63,395	4%
Operating income	15,798	16,096	(2)%
Earnings before income taxes	16,444	15,646	5%
Net earnings	13,063	12,439	5%
Net earnings attributable to Procter & Gamble	13,002	12,359	5%
Diluted net earnings per common share	5.36	5.03	7%
Core net earnings per common share	5.46	5.35	2%

<u>COMPARISONS AS A PERCENTAGE OF NET SALES</u>	Nine Months Ended March 31		
	2026	2025	Basis Pt Chg
Gross margin	50.7 %	51.8 %	(110)
Selling, general & administrative expense	26.7 %	26.4 %	30
Operating income	24.0 %	25.4 %	(140)
Earnings before income taxes	25.0 %	24.7 %	30
Net earnings	19.8 %	19.6 %	20
Net earnings attributable to Procter & Gamble	19.8 %	19.5 %	30

Net Sales

Net sales for the period increased 4% to \$65.8 billion driven by a 2% increase from favorable foreign exchange and a 1% increase from higher pricing. Volume and mix were unchanged. Excluding the impact of acquisitions and divestitures and foreign exchange, organic sales increased 2%.

The following table summarizes key drivers of the change in net sales by reportable segment:

Net Sales Change Drivers 2026 vs. 2025 (Nine Months Ended March 31) ⁽¹⁾							
	Volume with Acquisitions & Divestitures	Volume Excluding Acquisitions & Divestitures	Foreign Exchange	Price	Mix	Other ⁽²⁾	Net Sales Growth
Beauty	4 %	4 %	2 %	2 %	(1) %	— %	7 %
Grooming	(1) %	(1) %	4 %	3 %	(1) %	— %	5 %
Health Care	(1) %	(1) %	3 %	1 %	2 %	— %	5 %
Fabric & Home Care	— %	— %	2 %	1 %	— %	— %	3 %
Baby, Feminine & Family Care	(1) %	(1) %	2 %	— %	— %	— %	1 %
Total Company	— %	— %	2 %	1 %	— %	1 %	4 %

⁽¹⁾ Net sales percentage changes are approximations based on quantitative formulas that are consistently applied.

⁽²⁾ Other includes the sales mix impact from acquisitions and divestitures and rounding impacts necessary to reconcile volume to net sales.

Operating Costs

Gross margin decreased 110 basis points to 50.7% of net sales for the period. The decrease in gross margin was due to:

- 120 basis points of decline from unfavorable product mix,

- 70 basis points of product and packaging investments,
- 60 basis points of higher tariff costs,
- 50 basis points of higher restructuring costs,
- 20 basis points of other items and rounding,
- 10 basis points of unfavorable foreign exchange impacts and
- 10 basis points of higher commodity costs.

These impacts were partially offset by:

- 180 basis points of manufacturing productivity savings and
- 50 basis points of increase due to higher pricing.

Total SG&A spending increased 5% to \$17.6 billion versus the prior year period due to increased marketing spending and overhead costs. SG&A as a percentage of net sales increased 30 basis points to 26.7% due primarily to an increase in marketing spending as a percentage of net sales and an increase in overhead costs as a percentage of net sales, partially offset by a decrease in other operating expenses as a percentage of net sales. Marketing spending as a percentage of net sales increased 20 basis points as the positive scale impacts of the net sales increase and productivity savings were more than offset by an increase in marketing spending. Overhead costs as a percentage of net sales increased 10 basis points as wage inflation and restructuring spending were partially offset by productivity savings and the positive scale impacts of the net sales increase. Other operating expenses as a percentage of net sales decreased 10 basis points. Productivity-driven cost savings delivered 100 basis points of benefit to SG&A as a percentage of net sales.

Operating income decreased \$298 million, or 2%, to \$15.8 billion as the increase in net sales was more than offset by a decrease in gross margin and increase in SG&A spending, the components of which are described above. Operating margin decreased 140 basis points to 24.0% versus the prior year period due primarily to the decrease in gross margin and increase in restructuring charges in the current year.

Non-Operating Expenses and Income

Interest expense was \$641 million for the period, a decrease of \$54 million versus the prior year period. Interest income was \$322 million for the period, a decrease of \$43 million versus the prior year period. Other non-operating income/(expense), net, was \$964 million, which is an increase of \$1.1 billion versus the prior year period primarily due to the non-cash charge for accumulated foreign currency translation losses due to the substantial liquidation of operations in Argentina recorded in the prior year period and the gain from the dissolution of the Glad joint venture business in the current year period.

Income Taxes

The effective income tax rate for the nine months ended March 31, 2026, was 20.6%, compared to 20.5% for the nine months ended March 31, 2025. The increase in the effective tax rate was primarily driven by a 100 basis-point increase due to lower excess tax benefits of share-based compensation in the current year, partially offset by the prior year charge for accumulated foreign currency translation losses due to the substantial liquidation of operations in Argentina.

Net Earnings

Net earnings increased \$624 million, or 5%, to \$13.1 billion, as the increase in other non-operating income/(expense), net, the components of which are described above, were partially offset by the decrease in operating income. Foreign exchange had a positive impact of approximately \$185 million on net earnings for the period, including both transactional and translational impacts from converting earnings from foreign subsidiaries to U.S. dollars. Net earnings attributable to Procter & Gamble increased \$643 million, or 5%, to \$13.0 billion for the period. Diluted EPS increased 7% to \$5.36 versus the prior year period due to the increase in net earnings. Core EPS, which represents diluted EPS excluding the charges for incremental restructuring and the gain from the dissolution of the Glad joint venture business, increased 2% to \$5.46.

SEGMENT RESULTS – Three and Nine Months Ended March 31, 2026

The following discussion provides a review of results by reportable business segment. Analysis of the results for the three and nine months ended March 31, 2026, is provided based on a comparison to the three and nine months ended March 31, 2025. The primary financial measures used to evaluate segment performance are net sales and net earnings. The table below provides supplemental information on net sales, earnings before income taxes and net earnings by reportable business segment for the three and nine months ended March 31, 2026, versus the comparable prior year period (dollar amounts in millions):

Three Months Ended March 31, 2026						
	Net Sales	% Change Versus Year Ago	Earnings/(Loss) Before Income Taxes	% Change Versus Year Ago	Net Earnings/(Loss)	% Change Versus Year Ago
Beauty	\$ 3,866	11 %	\$ 761	11 %	\$ 579	7 %
Grooming	1,608	7 %	436	8 %	331	3 %
Health Care	3,073	7 %	768	5 %	579	2 %
Fabric & Home Care	7,403	7 %	1,689	3 %	1,300	1 %
Baby, Feminine & Family Care	5,058	6 %	1,282	11 %	980	11 %
Corporate	225	N/A	54	N/A	181	N/A
Total Company	\$ 21,235	7 %	\$ 4,989	7 %	\$ 3,951	4 %

Nine Months Ended March 31, 2026						
	Net Sales	% Change Versus Year Ago	Earnings/(Loss) Before Income Taxes	% Change Versus Year Ago	Net Earnings/(Loss)	% Change Versus Year Ago
Beauty	\$ 12,048	7 %	\$ 2,885	5 %	\$ 2,222	3 %
Grooming	5,219	5 %	1,552	4 %	1,212	— %
Health Care	9,699	5 %	2,714	2 %	2,067	— %
Fabric & Home Care	22,882	3 %	5,692	— %	4,400	(2) %
Baby, Feminine & Family Care	15,352	1 %	4,066	2 %	3,105	1 %
Corporate	627	N/A	(466)	N/A	57	N/A
Total Company	\$ 65,828	4 %	\$ 16,444	5 %	\$ 13,063	5 %

Beauty

Three months ended March 31, 2026, compared with three months ended March 31, 2025

Beauty net sales increased 11% to \$3.9 billion, driven by a 5% increase in unit volume, favorable foreign exchange of 4%, positive impacts of pricing of 1% and favorable product mix of 1%. Excluding the impact of acquisitions and divestitures and foreign exchange, organic sales increased 7%. Global market share of the Beauty segment decreased 0.3 points.

- Hair Care net sales increased double digits driven by an increase in unit volume, favorable foreign exchange and positive impacts of innovation-based pricing (primarily in North America and Europe), partially offset by unfavorable geographic mix. The volume increase was driven by growth in Europe, Latin America, Greater China and Asia Pacific (all due to innovation). Organic sales increased mid-single digits driven by growth in all regions, led by low-teens growth in Europe, double-digit growth in Latin America and mid-single-digit growth in Asia Pacific. Global market share of the Hair Care category decreased 0.5 points.
- Personal Care net sales increased double digits driven by an increase in unit volume, favorable foreign exchange, favorable geographic mix and innovation-based pricing. The volume increase was driven by growth in North America, Europe and Greater China (all due to innovation). Organic sales increased high single digits driven by mid-teens growth in Europe and high single-digit growth in North America, partially offset by a mid-single-digit growth in Greater China. Global market share of the Personal Care category was unchanged.
- Skin Care net sales increased high single digits driven by favorable product mix (due primarily to the increase of the super-premium SK-II brand, which has higher than category-average selling prices), a unit volume increase and favorable foreign exchange, partially offset by merchandising investments (primarily in Greater China). The volume increase was driven by North America and Asia Pacific (both due to innovation), partially offset by Greater China (due to competitive activity). Organic sales also increased high single digits driven by more than 20% growth in Asia Pacific, partially offset by a mid-single-digit growth in Greater China. Global market share of the Skin Care category decreased 0.8 points.

Net earnings increased 7% to \$579 million due to the increase in net sales, partially offset by a 40 basis-point decline in net earnings margin. Net earnings margin decreased due to a decrease in gross margin and an increase in the effective tax rate, partially

offset by a decrease in SG&A as a percentage of net sales. The gross margin decline of 210 basis points was driven by unfavorable product mix, higher commodity costs and higher cost of tariffs, partially offset by productivity savings. SG&A as a

percentage of net sales decreased primarily due to the positive scale impacts of the net sales increase. The higher effective tax rate was driven by unfavorable geographic mix.

Nine months ended March 31, 2026, compared with nine months ended March 31, 2025

Beauty net sales increased 7% to \$12.0 billion, driven by a 4% increase in unit volume, the positive impacts of pricing of 2% and favorable foreign exchange of 2%, partially offset by unfavorable geographic mix of 1%. Excluding the impact of acquisitions and divestitures and foreign exchange, organic sales increased 5%. Global market share of the Beauty segment decreased 0.3 points.

- Hair Care net sales increased high single digits driven by positive impacts of a unit volume increase, favorable foreign exchange and innovation-based pricing (primarily in North America and Europe), partially offset by unfavorable geographic mix. The increase in unit volume was driven by growth in Latin America, Europe and Asia Pacific (all due to innovation), partially offset by a decline in North America (due to competitive activity). Organic sales increased mid-single digits driven by double-digit growth in Latin America, high single-digit growth in Europe and mid-single-digit growth in Asia Pacific, partially offset by a low single-digit decline in North America. Global market share of the Hair Care category decreased 0.6 points.
- Personal Care net sales increased high single digits driven by positive impacts of a unit volume increase, higher pricing and favorable foreign exchange, partially offset by unfavorable geographic mix. The volume increase was across all regions, led by growth in North America, Greater China and Europe (all due to innovation). Organic sales also increased high single digits led by mid-teens growth in Europe and high single-digit growth in Greater China, partially offset by a mid-single-digit growth in North America. Global market share of the Personal Care category increased 0.2 points.
- Skin Care net sales increased mid-single digits driven by positive impacts of favorable product mix (due primarily to the increase of the super-premium SK-II brand, which has higher than category-average selling prices), higher pricing (primarily in Greater China) and favorable foreign exchange, partially offset by a unit volume decrease. The volume decrease was driven by Greater China (due to competitive activity). Organic sales also increased mid-single digits due to a double-digit growth in Asia Pacific and a mid-single-digit growth in Greater China, partially offset by unchanged growth in North America. Global market share of the Skin Care category decreased 0.7 points.

Net earnings increased 3% to \$2.2 billion due to an increase in net sales, partially offset by a 80 basis-point decline in net earnings margin. Net earnings margin decreased due to a decrease in gross margin, partially offset by a decrease in SG&A as a percentage of net sales. The gross margin decline of 120 basis-points was driven by unfavorable product mix, higher cost of tariffs and commodity costs, partially offset by productivity savings. SG&A as a percentage of net sales decreased due to the positive scale impacts of the net sales increase and a decrease in overhead spending, partially offset by an increase in marketing spending.

Grooming

Three months ended March 31, 2026, compared with three months ended March 31, 2025

Grooming net sales increased 7% to \$1.6 billion driven by favorable foreign exchange of 6% and innovation-based pricing of 3% (primarily by North America and Europe), partially offset by a unit volume decrease of 2%. The volume decrease was driven by IMEA (due to distribution loss), Europe (due to competitive activity) and North America (due to market contraction), partially offset by a volume increase in Latin America (due to increased distribution and innovation). Excluding the impact of acquisitions and divestitures and foreign exchange, organic sales increased 1% led by mid-single-digit growth in Latin America and low single-digit growth in North America and Europe, partially offset by a high single-digit decline in Greater China. Global market share of the Grooming segment decreased 0.4 points.

Net earnings increased 3% to \$331 million due to an increase in net sales, partially offset by a 70 basis-point decrease in net earnings margin. Net earnings margin decreased due to a decrease in gross margin and an increase in the effective tax rate, partially offset by a decrease in SG&A as a percentage of net sales. The gross margin decrease of 40 basis points was primarily driven by unfavorable product mix, partially offset by higher pricing and productivity savings. SG&A as a percentage of net sales decreased due to the positive scale impacts of the net sales increase, partially offset by an increase in marketing spending. The higher effective tax rate was driven by unfavorable geographic mix.

Nine months ended March 31, 2026, compared with nine months ended March 31, 2025

Grooming net sales increased 5% to \$5.2 billion as the benefits of favorable foreign exchange of 4% and higher pricing of 3% (driven by North America and Europe) were partially offset by a unit volume decline of 1% and unfavorable geographic mix impacts of 1%. The unit volume decrease was driven by declines in North America (due to market contraction) and IMEA (due to distribution loss), partially offset by a unit volume increase in Latin America (due to increased distribution). Excluding the impact of acquisitions and divestitures and foreign exchange, Grooming organic sales increased 1% driven by mid-single-digit growth in Latin America and low single-digit growth in Europe, partially offset by a mid-single-digit decline in Greater China. Global market share of the Grooming segment decreased 0.4 points.

Net earnings were unchanged at \$1.2 billion as the increase in net sales was offset by a 100 basis-point decrease in net earnings margin. Net earnings margin decreased due to a decrease in gross margin and an increase in the effective tax rate, partially offset by a decrease in SG&A as a percentage of net sales. The gross margin decline of 80 basis points was driven by unfavorable product mix, partially offset by higher pricing and productivity savings. SG&A as a percentage of net sales decreased due to the positive scale impacts of the net sales increase, partially offset by an increase in marketing spending. The higher effective tax rate was driven by unfavorable geographic mix.

Health Care

Three months ended March 31, 2026, compared with three months ended March 31, 2025

Health Care net sales increased 7% to \$3.1 billion as the benefits of favorable foreign exchange impacts of 5%, higher pricing of 2% and favorable product mix of 1% were partially offset by a 2% decrease in unit volume. Excluding the impact of acquisitions and divestitures and foreign exchange, organic sales increased 2%. Global market share of the Health Care segment increased 0.6 points.

- Oral Care net sales increased high single digits driven by positive impacts of favorable foreign exchange, innovation-based pricing (driven by North America and Europe) and favorable product mix (due to growth of power brushes and premium paste, which have higher than category-average selling prices), partially offset by a unit volume decline. The unit volume decrease was driven by a decline in Greater China (due to market contraction and competitive activity), partially offset by an increase in IMEA (due to market growth and innovation). Organic sales increased low single digits driven by low single-digit increases in Europe and North America, partially offset by a mid-teens decrease in Greater China. Global market share of the Oral Care category increased 0.3 points.
- Personal Health Care net sales increased mid-single digits driven by positive impacts of favorable foreign exchange, higher pricing (driven by North America) and favorable geographic mix, partially offset by a unit volume decrease. The unit volume decrease was driven by North America and Europe (due to lower average incidence of cough and cold), partially offset by a volume increase in IMEA (due to innovation). Organic sales increased low single digits driven by a double-digit increase in Asia Pacific and high single-digit increases in Latin America and IMEA, partially offset by a high single-digit decrease in Europe. Global market share of the Personal Health Care category increased 0.5 points.

Net earnings increased 2% to \$579 million due to an increase in net sales, partially offset by a 90 basis-point decrease in net earnings margin. Net earnings margin decreased due to a decrease in gross margin and an increase in SG&A as a percentage of net sales. The gross margin decrease of 30 basis points was driven primarily by unfavorable product mix, partially offset by higher pricing and productivity savings. SG&A as a percentage of net sales increased due to an increase in marketing spending, partially offset by the positive scale impacts of the net sales increase.

Nine months ended March 31, 2026, compared with nine months ended March 31, 2025

Health Care net sales increased 5% to \$9.7 billion driven by favorable foreign exchange of 3%, favorable product mix of 2% and higher pricing of 1%, partially offset by a 1% decrease in unit volume. Excluding the impact of acquisitions and divestitures and foreign exchange, organic sales increased 2%. Global market share of the Health Care segment increased 0.5 points.

- Oral Care net sales increased mid-single digits due to the positive impacts of favorable foreign exchange and favorable product mix (due to growth of premium paste and power brushes, which have higher than category-average selling prices), partially offset by a unit volume decrease. The unit volume decrease was due to a decline in Greater China (due to market contraction and competitive activity), partially offset by growth in Latin America (due to distribution gains). Organic sales increased low single digits due to a mid-single-digit increase in Europe and a low single-digit increase in North America, partially offset by a low-teens decrease in Greater China. Global market share of the Oral Care category was unchanged.
- Personal Health Care net sales increased mid-single digits due to the positive impacts of higher pricing (driven by North America and Latin America), favorable foreign exchange and favorable geographic mix, partially offset by a decrease in unit volume. The unit volume decrease was driven by a decline in North America (due to lower average incidence of cough and cold), partially offset by an increase in IMEA (due to innovation). Organic sales increased low single digits due to double-digit growth in Latin America and high single-digit growth in IMEA, partially offset by a low single-digit decline in North America. Global market share of the Personal Health Care category increased 0.5 points.

Net earnings were unchanged at \$2.1 billion as the increase in net sales was offset by a 100 basis-point decrease in net earnings margin. Net earnings margin decreased due to a decrease in gross margin, partially offset by a decrease in SG&A as a percentage of net sales. The gross margin decrease of 100 basis points was driven by unfavorable product mix, partially offset by higher pricing and productivity savings. SG&A as a percentage of net sales decreased due to the positive scale impacts of the net sales increase, partially offset by an increase in marketing spending.

Fabric & Home Care

Three months ended March 31, 2026, compared with three months ended March 31, 2025

Fabric & Home Care net sales increased 7% to \$7.4 billion driven by favorable foreign exchange of 4%, a unit volume increase of 2% and higher pricing of 1%. Excluding the impact of foreign exchange and acquisitions and divestitures, organic sales increased 3%. Global market share of the Fabric & Home Care segment was unchanged.

- Fabric Care net sales increased mid-single digits driven by positive impacts from favorable foreign exchange and a unit volume increase. The unit volume increase was driven by an increase in North America (due to innovation). Organic sales increased low single digits driven by a mid-single-digit increase in North America. Global market share of the Fabric Care category decreased 0.2 points.
- Home Care net sales increased high single digits driven by the positive impacts of favorable foreign exchange, a unit volume increase and higher pricing (primarily in North America and Europe). The increase in volume was led by Europe and Asia Pacific (both due to innovation). Organic sales increased mid-single digits driven by a high single-digit increase in Europe and a low single-digit increase in North America. Global market share of the Home Care category increased 0.3 points.

Net earnings increased 1% to \$1.3 billion due to an increase in net sales, partially offset by a 90 basis-point decrease in net earnings margin. Net earnings margin decreased due to a decrease in gross margin, partially offset by a decrease in SG&A as a percentage of net sales. The gross margin decrease of 180 basis points was driven by product investment and higher cost of commodities, partially offset by productivity savings. SG&A as a percentage of net sales decreased due to the positive scale impacts of the net sales increase.

Nine months ended March 31, 2026, compared with nine months ended March 31, 2025

Fabric & Home Care net sales increased 3% to \$22.9 billion driven by favorable foreign exchange of 2% and higher pricing of 1%. Unit volume was unchanged. Excluding the impact of foreign exchange and acquisitions and divestitures, organic sales increased 1%. Global market share of the Fabric & Home Care segment decreased 0.2 points.

- Fabric Care net sales increased low single digits driven by favorable foreign exchange. Unit volume was unchanged as the volume increase in North America (due to innovation) was offset by the volume decrease in Europe (due to competitive activity). Organic sales were unchanged as a low single-digit increase in North America was offset by a mid-single-digit decrease in Europe. Global market share of the Fabric Care category decreased 0.6 points.
- Home Care net sales increased mid-single digits driven by favorable foreign exchange and higher pricing (primarily in North America and Europe). Unit volume was unchanged as increases in Latin America and Europe (both due to innovation) were offset by a decline in North America (due to competitive activity). Organic sales increased low single digits driven by low single-digit growth in Europe and North America. Global market share of the Home Care category increased 0.4 points.

Net earnings decreased 2% to \$4.4 billion due to a 90 basis-point decrease in net earnings margin, partially offset by an increase in net sales. Net earnings margin decreased due to a decrease in gross margin, partially offset by a decrease in SG&A as a percentage of net sales. The gross margin decrease of 130 basis points was driven by unfavorable product mix, partially offset by productivity savings. SG&A as a percentage of net sales decreased due to the positive scale impacts of the net sales increase.

Baby, Feminine & Family Care

Three months ended March 31, 2026, compared with three months ended March 31, 2025

Baby, Feminine & Family Care net sales increased 6% to \$5.1 billion driven by a unit volume increase of 3% and favorable foreign exchange of 3%. Excluding the impacts of foreign exchange and acquisitions and divestitures, organic sales increased 3%. Global market share of the Baby, Feminine & Family Care segment decreased 0.3 points.

- Baby Care net sales increased high single digits driven by the positive impacts of favorable foreign exchange and a unit volume increase. The unit volume increase was driven by an increase in IMEA (due to innovation and market growth) and Greater China (due to innovation), partially offset by a decrease in North America (due to competitive activity). Organic sales increased low single digits driven by high-teens increases in IMEA and Greater China, partially offset by a low single-digit decrease in North America. Global market share of the Baby Care category increased 0.2 points.
- Feminine Care net sales increased mid-single digits driven by favorable foreign exchange, innovation-based pricing (primarily in North America) and favorable geographic mix were partially offset by a unit volume decline. The unit volume decrease was driven by declines in IMEA and Europe (both due to competitive activity). Organic sales increased low single digits driven by a mid-single-digit increase in North America, partially offset by a high single-digit decrease in IMEA. Global market share of the Feminine Care category decreased 0.2 points.
- Net sales in Family Care, which is predominantly a North America business, increased mid-single digits driven by a unit volume increase (due to retail inventory reduction in the prior year), partially offset by lower pricing (due to merchandising

investments). Organic sales also increased mid-single digits. North America market share of the Family Care category decreased 0.8 points.

Net earnings increased 11% to \$980 million due to an increase in net sales and a 90 basis-point increase in net earnings margin. Net earnings margin increased due to a decrease in SG&A as a percentage of net sales and an increase in gross margin. The gross margin increase of 30 basis points was primarily due to lower commodity costs and productivity savings, partially offset by unfavorable product mix. SG&A as a percentage of net sales decreased due to the positive scale impacts of the net sales increase.

Nine months ended March 31, 2026, compared with nine months ended March 31, 2025

Baby, Feminine & Family Care net sales increased 1% to \$15.4 billion driven by favorable foreign exchange of 2%, partially offset by a unit volume decline of 1%. Excluding the impacts of foreign exchange and acquisitions and divestitures, organic sales were unchanged. Global market share of the Baby, Feminine & Family Care segment decreased 0.2 points.

- Baby Care net sales increased low single digits driven by favorable foreign exchange. Unit volume was unchanged as increases in Greater China (due to innovation), IMEA (due to market growth) and Europe (due to distribution gains) were offset by a decrease in North America (due to competitive activity). Organic sales were unchanged as a 20% increase in Greater China and a high single-digit increase in IMEA were offset by a mid-single-digit decrease in North America. Global market share of the Baby Care category increased 0.3 points.
- Feminine Care net sales increased low single digits driven by positive impacts of favorable foreign exchange, favorable geographic mix and higher pricing (primarily in North America), partially offset by a decrease in unit volume. The unit volume decrease was driven by declines across all regions, led by IMEA and Europe (both due to competitive activity) and Greater China (due to market contraction). Organic sales were unchanged as a low single-digit growth in North America was offset by a high single-digit decline in IMEA and a low single-digit decline in Europe. Global market share of the Feminine Care category was unchanged.
- Net sales in Family Care, which is predominantly a North America business, decreased low single digits driven by lower pricing (due to merchandising investments). Unit volume was unchanged. Excluding the impact of foreign exchange, organic sales also decreased low single digits. North America market share of the Family Care category decreased 0.9 points.

Net earnings increased 1% to \$3.1 billion due to an increase in net sales. Net earnings margin was unchanged as a decrease in SG&A as a percentage of net sales was offset by a decrease in gross margin. Gross margin decreased 20 basis points due to unfavorable product mix, partially offset by lower commodity costs and productivity savings. SG&A as a percentage of net sales decreased due to a decrease in overhead spending, partially offset by an increase in marketing spending.

Corporate

Corporate includes certain operating and non-operating activities not allocated to specific business segments. These include but are not limited to incidental businesses managed at the corporate level, gains and losses related to certain divested brands or businesses, impacts from various financing and investing activities, certain impacts related to employee benefits, asset impairments and restructuring activities including manufacturing and workforce optimization. Corporate also includes reconciling items to adjust the accounting policies used within the reportable segments to U.S. GAAP. The most notable ongoing reconciling item is income taxes, which adjusts the blended statutory rates that are reflected in the reportable segments to the overall Company effective tax rate.

For the three months ended March 31, 2026, Corporate net sales increased \$27 million to \$225 million. Corporate net earnings decreased \$19 million to \$181 million for the quarter driven primarily by current year restructuring charges and adjustments to expected variable compensation payouts in the prior year period, partially offset by the gain from the dissolution of the Glad joint venture business.

For the nine months ended March 31, 2026, Corporate net sales increased \$107 million to \$627 million due to an increase in net sales of incidental businesses managed at the corporate level. Corporate net earnings increased \$588 million to \$57 million primarily due to restructuring charges related to the substantial liquidation of operations in certain Enterprise Markets, including Argentina, in the prior year period and the dissolution of the Glad joint venture business in the current year period, partially offset by current year restructuring charges.

LIQUIDITY & CAPITAL RESOURCES

Operating Activities

Operating cash flow was \$14.4 billion fiscal year to date, an increase of \$1.6 billion versus the prior year period. Net earnings, adjusted for non-cash items (depreciation and amortization, share-based compensation expense, deferred income taxes and (gain)/loss on sale of assets), generated \$15.6 billion of operating cash flow. Working capital and other impacts consumed \$1.2 billion of cash in the period. Accounts receivable increased, consuming \$186 million of cash. Days sales outstanding were unchanged. Total inventories increased, consuming \$346 million of cash, driven primarily by new product initiatives and increased safety stock levels. Days inventory on hand decreased by one day. Trade payables generated \$196 million of cash. Other impacts consumed additional cash of \$877 million primarily driven by the payment of the transitional tax related to the 2017 U.S. Tax Act and a reduction in postretirement benefits, partially offset by current year income tax accruals in excess of estimated payments.

Investing Activities

Investing activities used \$3.4 billion of cash fiscal year to date primarily driven by capital expenditures and the settlement of net investment hedges, partially offset by proceeds from the dissolution of the Glad joint venture business.

Financing Activities

Financing activities used \$8.2 billion of net cash fiscal year to date, mainly due to dividends to shareholders and treasury stock purchases, partially offset by a net debt increase.

As of March 31, 2026, our current liabilities exceeded current assets by \$10.2 billion. We anticipate being able to support our short-term liquidity and operating needs largely through cash generated from operations. We have strong short- and long-term debt ratings that have enabled and should continue to enable us to refinance our debt as it becomes due at favorable rates in commercial paper and bond markets. In addition, we have agreements with a diverse group of financial institutions that, if needed, should provide sufficient funding to meet short-term financing requirements.

MEASURES NOT DEFINED BY U.S. GAAP

In accordance with the SEC's Regulation S-K Item 10(e), the following provides definitions of the non-GAAP measures and the reconciliation to the most closely related GAAP measure. We believe that these measures provide useful perspective on underlying business trends (i.e., trends excluding non-recurring or unusual items) and results and provide a supplemental measure of period-to-period results. The non-GAAP measures described below are used by management in making operating decisions, allocating financial resources and for business strategy purposes. These measures may be useful to investors, as they provide supplemental information about business performance and provide investors a view of our business results through the eyes of management. These measures are also used to evaluate senior management and are a factor in determining their at-risk compensation. These non-GAAP measures are not intended to be considered by the user in place of the related GAAP measures but rather as supplemental information to our business results. These non-GAAP measures may not be the same as similar measures used by other companies due to possible differences in method and in the items or events being adjusted.

Organic sales growth. Organic sales growth is a non-GAAP measure of sales growth excluding the impacts of acquisitions and divestitures and foreign exchange from year-over-year comparisons. We believe this measure provides investors with a supplemental understanding of underlying sales trends by providing sales growth on a consistent basis. This measure is used in assessing the achievement of management goals for at-risk compensation.

The following tables provide a numerical reconciliation of net sales growth to organic sales growth:

<u>Three Months Ended March 31, 2026</u>	<u>Net Sales Growth</u>	<u>Foreign Exchange Impact</u>	<u>Acquisition & Divestiture Impact/Other ⁽¹⁾</u>	<u>Organic Sales Growth</u>
Beauty	11 %	(4) %	— %	7 %
Grooming	7 %	(6) %	— %	1 %
Health Care	7 %	(5) %	— %	2 %
Fabric & Home Care	7 %	(4) %	— %	3 %
Baby, Feminine & Family Care	6 %	(3) %	— %	3 %
Total Company	7 %	(4)%	— %	3 %

⁽¹⁾ Acquisition & Divestiture Impact/Other includes the volume and mix impact of acquisitions and divestitures and rounding impacts necessary to reconcile net sales to organic sales.

<u>Nine Months Ended March 31, 2026</u>	<u>Net Sales Growth</u>	<u>Foreign Exchange Impact</u>	<u>Acquisition & Divestiture Impact/Other ⁽¹⁾</u>	<u>Organic Sales Growth</u>
Beauty	7 %	(2) %	— %	5 %
Grooming	5 %	(4) %	— %	1 %
Health Care	5 %	(3) %	— %	2 %
Fabric & Home Care	3 %	(2) %	— %	1 %
Baby, Feminine & Family Care	1 %	(2) %	1 %	— %
Total Company	4 %	(2)%	— %	2 %

⁽¹⁾ Acquisition & Divestiture Impact/Other includes the volume and mix impact of acquisitions and divestitures and rounding impacts necessary to reconcile net sales to organic sales.

Adjusted free cash flow. Adjusted free cash flow is defined as operating cash flow less capital spending and excluding payments for the transitional tax resulting from the 2017 U.S. Tax Act. Adjusted free cash flow represents the cash that the Company is able to generate after taking into account planned maintenance and asset expansion. We view adjusted free cash

flow as an important measure because it is one factor used in determining the amount of cash available for dividends, share repurchases, acquisitions and other discretionary investments.

The following table provides a numerical reconciliation of adjusted free cash flow (\$ millions):

Nine Months Ended March 31, 2026				
Operating Cash Flow	Capital Spending	2017 U.S. Tax Act Payments	Adjusted Free Cash Flow	
\$ 14,425	\$ (3,386)	\$ 688	\$	11,727

Adjusted free cash flow productivity. Adjusted free cash flow productivity is defined as the ratio of adjusted free cash flow to net earnings excluding the gain from the dissolution of the Glad joint venture business. We view adjusted free cash flow productivity as a useful measure to help investors understand P&G's ability to generate cash. Adjusted free cash flow productivity is used by management in making operating decisions, in allocating financial resources and for budget planning purposes. This measure is also used in assessing the achievement of management goals for at-risk compensation.

The following table provides a numerical reconciliation of adjusted free cash flow productivity (\$ millions):

Nine Months Ended March 31, 2026				
Adjusted Free Cash Flow	Net Earnings	Adjustments to Net Earnings ⁽¹⁾	Net Earnings as Adjusted	Adjusted Free Cash Flow Productivity
\$ 11,727	\$ 13,063	\$ (261)	\$ 12,802	92 %

⁽¹⁾ Adjustments to Net earnings relate to the gain from the dissolution of the Glad joint venture business.

Core EPS. Core EPS is a measure of the Company's diluted EPS excluding items that are not judged by management to be part of the Company's sustainable results or trends. Management views this non-GAAP measure as a useful supplemental measure of Company performance over time. This measure is also used in assessing the achievement of management goals for at-risk compensation. The Core earnings measures included in the following reconciliation tables refer to the equivalent GAAP measures adjusted as applicable for the following items:

- **Incremental restructuring:** The Company has historically had an ongoing level of restructuring activities of approximately \$250 - \$500 million before tax. On June 5, 2025, the Company announced a portfolio and productivity plan to streamline its portfolio and organization to improve its cost structure and competitiveness. In the fiscal year ended June 30, 2024, the Company started a limited market portfolio restructuring of its business operations, primarily in certain Enterprise Markets, including Argentina and Nigeria, to address challenging macroeconomic and fiscal conditions. During the period ended September 30, 2024, the Company completed this limited market portfolio restructuring with the substantial liquidation of its operations in Argentina. The adjustment to Core earnings includes the restructuring charges that exceed the normal, recurring level of restructuring charges.
- **Glad joint venture agreement:** In January 2026, the Glad joint venture agreement between the Company and Clorox expired. Under the terms of the agreement, Clorox purchased the Company's minority interest in the venture at fair market value, for \$476 million. This transaction was accounted for as a dissolution of the Glad joint venture business and the Company recorded an after-tax gain of \$261 million.

We do not view the above items to be part of our sustainable results, and their exclusion from Core earnings measures provides a more comparable measure of year-on-year results. This item is also excluded when evaluating senior management in determining their at-risk compensation.

THE PROCTER & GAMBLE COMPANY AND SUBSIDIARIES
Reconciliation of Non-GAAP Measures

<u>Amounts in millions except per share amounts</u>	Three Months Ended March 31, 2026				Three Months Ended March 31, 2025
	As Reported (GAAP)	Incremental Restructuring	Glad Joint Venture Agreement	Core (Non-GAAP)	As Reported (GAAP) ⁽¹⁾
Cost of products sold	\$ 10,722	\$ (115)	\$ —	\$ 10,606	\$ 9,694
Selling, general and administrative expense	5,936	(28)	—	5,908	5,524
Operating income	4,576	144	—	4,720	4,558
Other non-operating income/(expense), net	537	—	(343)	194	210
Income taxes	1,039	(23)	(81)	934	868
Net earnings	3,951	167	(261)	3,856	3,793
Less: Net earnings attributable to noncontrolling interests	18	5	—	23	23
Net earnings attributable to P&G	3,932	162	(261)	3,833	3,769
				Core EPS	
Diluted net earnings per common share ⁽²⁾	\$ 1.63	\$ 0.07	\$ (0.11)	\$ 1.59	\$ 1.54

⁽¹⁾ For the three months ended March 31, 2025, there were no adjustments to or reconciling items for Core EPS.

⁽²⁾ Diluted net earnings per common share are calculated on Net earnings attributable to Procter & Gamble.

CHANGE VERSUS YEAR AGO

Net earnings attributable to P&G	4 %
Core net earnings attributable to P&G	2 %
Diluted net earnings per common share	6 %
Core EPS	3 %

THE PROCTER & GAMBLE COMPANY AND SUBSIDIARIES
Reconciliation of Non-GAAP Measures

<u>Amounts in millions except per share amounts</u>	Nine Months Ended March 31, 2026			
	As Reported (GAAP)	Incremental Restructuring	Glad Joint Venture Agreement	Core (Non-GAAP)
Cost of products sold	\$ 32,442	\$ (306)	\$ —	\$ 32,136
Selling, general and administrative expense	17,588	(249)	—	17,338
Operating income	15,798	556	—	16,354
Other non-operating income/(expense), net	964	31	(343)	652
Income taxes	3,381	59	(81)	3,359
Net earnings	13,063	527	(261)	13,329
Less: Net earnings attributable to noncontrolling interests	60	20	—	80
Net earnings attributable to P&G	13,002	507	(261)	13,248
				Core EPS
Diluted net earnings per common share ⁽¹⁾	\$ 5.36	\$ 0.21	\$ (0.11)	\$ 5.46

⁽¹⁾ Diluted net earnings per common share are calculated on Net earnings attributable to Procter & Gamble.

CHANGE VERSUS YEAR AGO

Net earnings attributable to P&G	5 %
Core net earnings attributable to P&G	1 %
Diluted net earnings per common share	7 %
Core EPS	2 %

THE PROCTER & GAMBLE COMPANY AND SUBSIDIARIES
Reconciliation of Non-GAAP Measures

<u>Amounts in millions except per share amounts</u>	Nine Months Ended March 31, 2025		
	As Reported (GAAP)	Incremental Restructuring	Core (Non-GAAP)
Cost of products sold	\$ 30,533	\$ 20	\$ 30,554
Selling, general and administrative expense	16,765	(25)	16,740
Operating income	16,096	5	16,101
Other non-operating income/(expense), net	(120)	789	669
Income taxes	3,207	(7)	3,199
Net earnings attributable to P&G	12,359	801	13,160
			Core EPS
Diluted net earnings per common share ⁽¹⁾	\$ 5.03	\$ 0.33	\$ 5.35

⁽¹⁾ Diluted net earnings per common share are calculated on Net earnings attributable to Procter & Gamble.

Item 3. Quantitative and Qualitative Disclosures About Market Risk

There have been no material changes in the Company's exposure to market risk since June 30, 2025. Additional information can be found in Note 9, Risk Management Activities and Fair Value Measurements, of the Company's Form 10-K for the fiscal year ended June 30, 2025.

Item 4. Controls and Procedures

Evaluation of Disclosure Controls and Procedures

The Company's President and Chief Executive Officer, Shailesh Jejurikar, and the Company's Chief Financial Officer, Andre Schulten, performed an evaluation of the Company's disclosure controls and procedures (as defined in Rules 13a-15(e) and 15d-15(e) of the Securities Exchange Act of 1934 (Exchange Act)) as of the end of the period covered by this report.

Messrs. Jejurikar and Schulten have concluded that the Company's disclosure controls and procedures were effective to ensure that information required to be disclosed in reports we file or submit under the Exchange Act is (1) recorded, processed, summarized and reported within the time periods specified in SEC rules and forms, and (2) accumulated and communicated to our management, including Messrs. Jejurikar and Schulten, to allow their timely decisions regarding required disclosure.

Changes in Internal Control Over Financial Reporting

There were no changes in our internal control over financial reporting that occurred during the Company's fiscal quarter ended March 31, 2026, that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

PART II. OTHER INFORMATION

Item 1. Legal Proceedings

The Company is subject, from time to time, to certain legal proceedings and claims arising out of our business, which cover a wide range of matters, including antitrust and trade regulation, product liability, advertising, contracts, environmental issues, patent and trademark matters, labor and employment matters and tax. In addition, SEC regulations require that we disclose certain environmental proceedings arising under Federal, State or local law when a governmental authority is a party and such proceeding involves potential monetary sanctions that the Company reasonably believes will exceed a certain threshold (\$1 million or more).

There were no material changes during the quarter ended March 31, 2026, to our disclosure in Part I, Item 3, "Legal Proceedings" of our Form 10-K for the fiscal year ended June 30, 2025. There were no relevant matters to disclose under this Item for this period.

Item 1A. Risk Factors

For information on risk factors, please refer to "Risk Factors" in Part I, Item 1A of the Company's Form 10-K for the fiscal year ended June 30, 2025.

Item 2. Unregistered Sales of Equity Securities, Use of Proceeds and Issuer Purchases of Equity Securities**ISSUER PURCHASES OF EQUITY SECURITIES**

Period	Total Number of Shares Purchased (⁽¹⁾)	Average Price Paid per Share (⁽²⁾)	Total Number of Shares Purchased as Part of Publicly Announced Plans or Programs (⁽³⁾)	Approximate Dollar Value of Shares That May Yet Be Purchased Under Our Share Repurchase Program
1/01/2026 - 1/31/2026	—	—	—	(⁽³⁾)
2/01/2026 - 2/28/2026	3,911,417	\$ 159.79	3,911,417	(⁽³⁾)
3/01/2026 - 3/31/2026	—	—	—	(⁽³⁾)
Total	3,911,417	\$159.79	3,911,417	

(⁽¹⁾) All transactions are reported on a trade date basis and were made in the open market with large financial institutions. This table excludes shares withheld from employees to satisfy tax withholding requirements on option exercises and other equity-based transactions. The Company administers cashless exercises through an independent third party and does not repurchase stock in connection with cashless exercises.

(⁽²⁾) Average price paid per share for open market transactions excludes commission.

(⁽³⁾) In accordance with the repurchase program announced on July 29, 2025, the Company reaffirmed in its earnings release on April 24, 2026, that it expects to reduce outstanding shares through direct share repurchases at a value of approximately \$5 billion in fiscal year 2026, notwithstanding any purchases under the Company's compensation and benefit plans. Purchases may be made in the open market and/or private transactions and purchases may be increased, decreased or discontinued at any time without prior notice. The share repurchases are authorized pursuant to a resolution issued by the Company's Board of Directors and are expected to be financed by a combination of operating cash flows and issuance of debt.

Item 5. Other Information

During the three months ended March 31, 2026, none of our directors or officers adopted or terminated a "Rule 10b5-1 trading arrangement" or "non-Rule 10b5-1 trading arrangement" as defined in Item 408 of Regulation S-K.

Amounts in millions of dollars unless otherwise specified.

Item 6. Exhibits

3.1 Amended Articles of Incorporation (as amended by shareholders at the annual meeting on October 11, 2011 and consolidated by the Board of Directors on April 8, 2016) (Incorporated by reference to Exhibit (3-1) of the Company's Form 10-K for the year ended June 30, 2016)

3.2 Regulations (as approved by the Board of Directors on December 13, 2022, pursuant to authority granted by shareholders at the annual meeting on October 13, 2009) (Incorporated by reference to Exhibit (3-2) of the Company's Current Report on Form 8-K filed December 13, 2022)

4.1 Indenture, dated as of September 3, 2009, between the Company and Deutsche Bank Trust Company Americas, as Trustee (Incorporated by reference to Exhibit (4-1) of the Company's Annual Report on Form 10-K for the year ended June 30, 2015)

31.1 Rule 13a-14(a)/15d-14(a) Certification – Chief Executive Officer +

31.2 Rule 13a-14(a)/15d-14(a) Certification – Chief Financial Officer +

32.1 Section 1350 Certifications – Chief Executive Officer +

32.2 Section 1350 Certifications – Chief Financial Officer +

101.SCH ⁽¹⁾ Inline XBRL Taxonomy Extension Schema Document

101.CAL ⁽¹⁾ Inline XBRL Taxonomy Extension Calculation Linkbase Document

101.DEF ⁽¹⁾ Inline XBRL Taxonomy Definition Linkbase Document

101.LAB ⁽¹⁾ Inline XBRL Taxonomy Extension Label Linkbase Document

101.PRE ⁽¹⁾ Inline XBRL Taxonomy Extension Presentation Linkbase Document

104 Cover Page Interactive Data File (formatted in Inline XBRL and contained in Exhibit 101)

+ Filed herewith

⁽¹⁾ Pursuant to Rule 406T of Regulation S-T, this information is furnished and not filed for purposes of Sections 11 or 12 of the Securities Act of 1933 and Section 18 of the Securities Exchange Act of 1934, and otherwise is not subject to liability under these sections.

Pursuant to the requirements of the Securities Exchange Act of 1934, the Registrant has duly caused this Report to be signed on its behalf by the undersigned thereunto duly authorized.

THE PROCTER & GAMBLE COMPANY

April 24, 2026

Date

/s/ MATTHEW W. JANZARUK

(Matthew W. Janzaruk)

Senior Vice President - Chief Accounting Officer
(Principal Accounting Officer)